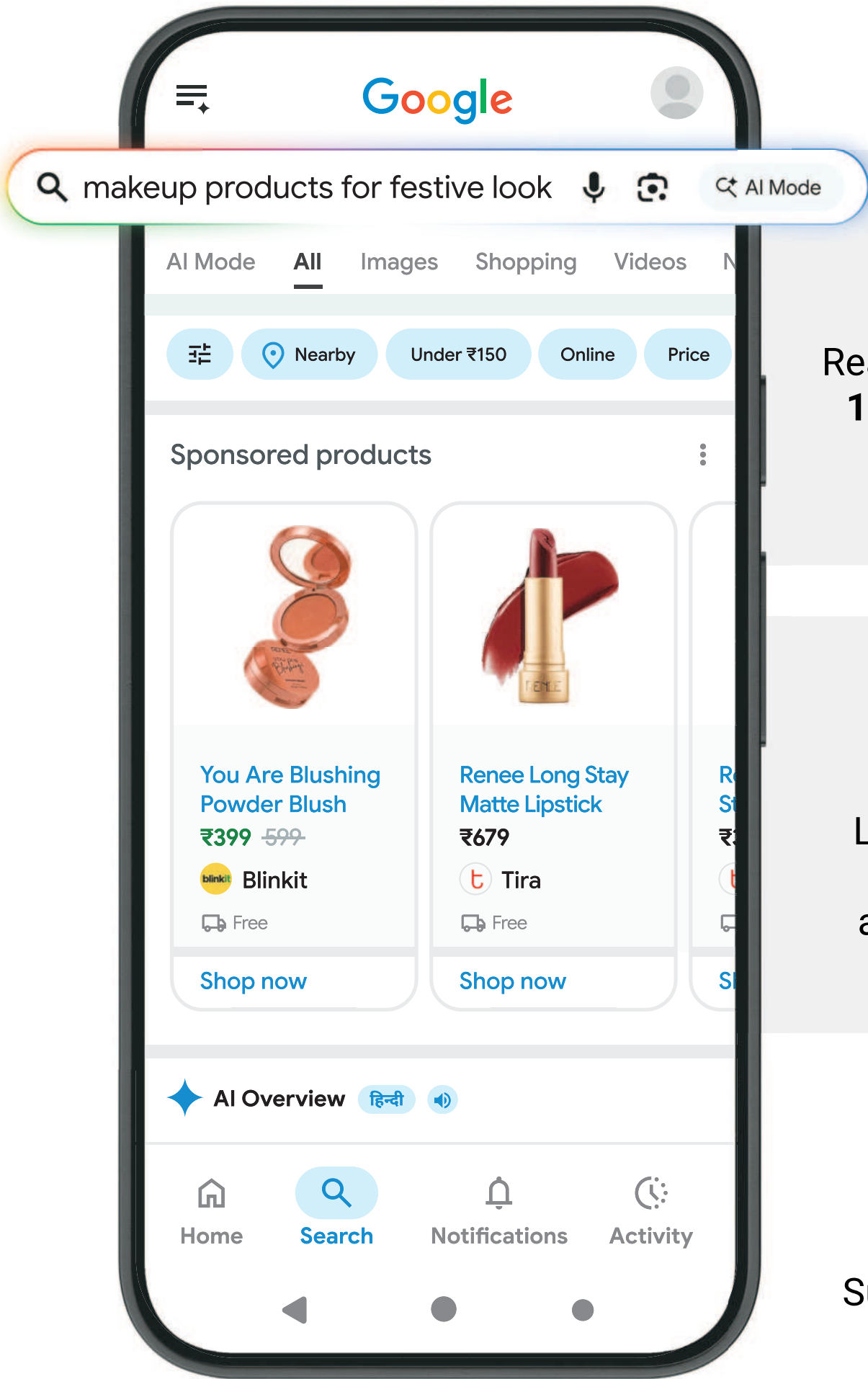




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Supercharge decision-making
this festive season



Sources:
1. Google commissioned Ipsos Global Consumer Journeys, Dec 2025
2. Commissioned Analytic Edge MMM Meta Analysis 2021-2025

*Some elements edited or created with AI

Monday, September 14, 2026

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Think Ahead. Think Growth.

mint primer

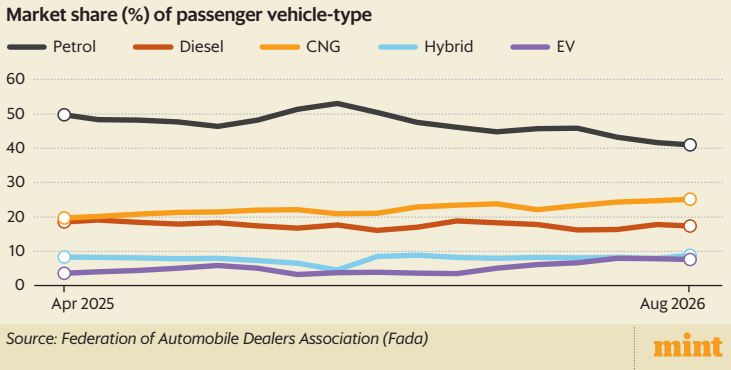
Petrol cars lose buyers. Why not diesel SUVs?

BY AYAAN KARTIK

Petrol cars are losing ground to CNG, electric and hybrid vehicles, but diesel models have held up. Federation of Automobile Dealers Associations (Fada) data shows the fall in petrol's share of passenger-vehicle sales was steeper than diesel cars in August. *Mint* explores.

Shifting gears

In a first, CNG, hybrids, and EVs together outsold petrol cars in August.



1 Why are petrol cars losing ground?

The market share of petrol-run cars fell to 40.85% in August this year from 49.97% in April 2025, when Fada began reporting fuel-wise shares. Compressed natural gas (CNG) vehicles gained the most, with their share rising from 19.67% to 25.28%, while electric vehicle (EV) sales rose slightly and hybrid sales were stagnant. The shift towards CNG is also visible at India's largest carmakers, with Maruti Suzuki India Ltd, Tata Motors Passenger Vehicles Ltd and Hyundai Motor India Ltd seeing CNG's share of their portfolios increase. Lower total cost of ownership and rising CNG cab sales have helped drive adoption.

MINT

2 How are diesel-run vehicles holding on?

Diesel was expected to struggle after BS-VI emission norms took effect in 2020, but it has held its ground, particularly among buyers of large SUVs. Diesel is cheaper, offers better fuel economy on long runs and has greater pulling power than petrol. Its share fell to 17.21% in August from 18.47% in April 2025, far less than petrol's decline. While industry-wide SUV data by fuel type isn't available, Vahan data shows more than two-thirds of Mahindra & Mahindra's monthly sales are still diesel-powered. Hyundai Creta, the largest-selling mid-size SUV, has more than a third of its buyers opting for diesel.

3 Has ethanol blending played a role?

Since going on sale in fiscal year 2025, E20 petrol has triggered fuel efficiency concerns. Fada president Sai Giridhar said these concerns affected some buying decisions and led to a fall in petrol-car demand. Concerns are now easing as carmakers assure buyers that new cars are E20-compliant. No similar blending mandate has been announced for diesel.

4 Why does diesel's strength hurt hybrids?

Industry executives have long said that diesel SUV buyers are a key target for hybrid vehicles, which are currently concentrated in larger SUVs because the technology requires both a fuel tank and a battery. But hybrids cost more than comparable diesel models and no longer enjoy a tax advantage. Before the September 2025 cut in goods and services tax (GST), large diesel SUVs faced a 50% tax, compared with 43% for hybrids. Since then, however, both hybrids and large diesel SUVs are taxed at the same 40%.

5 Will the story change in the years to come?

The rollout of the third iteration of corporate average fuel efficiency (CAFE) rules, which limit carbon emissions from a carmaker's fleet, alongside BS-VII regulations, is expected to push carmakers away from diesel. Auto industry veteran Arun Malhotra said diesel technology has evolved to meet BS-VI rules and remains popular among large SUV buyers. While diesel has no tax disadvantage in the large SUV segment, he noted that the impact of CAFE 3 and BS-VII regulations on diesel remains to be seen.

QUICK EDIT

Brics: role elevation

The shape of Brics and its pursuits have been evolving over the two decades of its existence as a group of countries. Now Prime Minister Narendra Modi has outlined an ambitious agenda for the next two decades. Modi not only proposed the setting up of a digital repository of decisions to improve implementation, he said it must move from being a "rule taker" to a "rule shaper." This is consistent with his call for governance reforms at multilateral institutions for accommodative decision-making. Sea traffic safety, artificial intelligence regulation and critical mineral supplies were among the other global challenges he spoke of. Modi also underlined India's view of Brics as not being an anti-West club; there was no talk of a 'Brics currency,' even if trade facilitation via new links may be on the cards. Overall, the optics of the summit held in New Delhi over the weekend suggested little heed paid to what the US may make of Brics. That's just how it should be. The project of rule-shaping, however, would need deft diplomacy combined with robust signalling. This isn't to be taken as confrontationalist, globally, but as a call for the world to reflect on global power distribution.

QUOTE OF THE DAY

A world without rules is like a crossroads without traffic lights, where chaos and disorder are all but guaranteed. Fairness and justice is a universal aspiration, and international rules must be written by all countries.

XI JINPING
CHINESE PRESIDENT

The Chinese leader was speaking at the Brics summit in New Delhi.



INSIDE

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Money | Fine print key in hybrid home loans >P11

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Views | India's urban-rural split: welfare benefits should not depend on it >P13

THE WEEK AHEAD

14 SEP

AUGUST INFLATION DATA

A *Mint* poll has projected the August data at 4.9%, a 20-month high.

14 SEP

EMMY AWARDS

The 78th Primetime Emmy Awards will take place in Los Angeles.

15-18 SEP

IPOs THIS WEEK

Hero Motors' IPO on 16 September, NSE's ₹30,000 crore on 17th.

17 SEP

TATA SONS BOARD MEET

Tata Sons' board likely to meet to discuss key group-level decisions.

17-19 SEP

SEMICON INDIA 2026

SEMICON India in New Delhi, with PM Modi to inaugurate.

20 SEP

ZELENSKY-TRUMP MEETING

Zelensky to meet Trump, amid efforts to end Russia-Ukraine war.

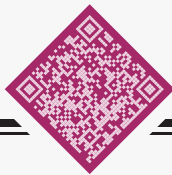
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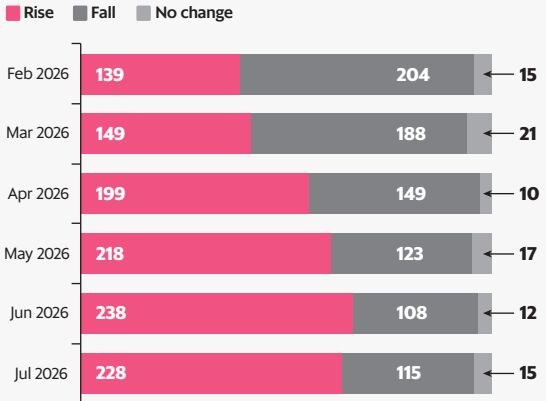
NUMBERS TO WATCH THIS WEEK

BY PAYAL BHATTACHARYA

Every Monday, *Mint's Plain Facts* section tracks the key data releases and announcements to watch in the coming week. India's August inflation data is due this week, while the Reserve Bank of India is set to conduct open-market bond sales amid a large liquidity surplus in the banking system. The US Federal Reserve, Bank of England and Bank of Japan will announce monetary policy decisions, while India's August trade data will offer a fresh reading on export growth. India's primary market will also remain busy, with the much-awaited initial public offering (IPO) of the National Stock Exchange Ltd (NSE) opening for subscription alongside issues from other companies. Here are the key developments to watch over the next seven days:

Items recording a rising inflation rose sharply over the past few months

Number of items (out of 358) that saw year-on-year inflation...



Source: Statistics ministry, CMIE, Mint calculations



MOUNTING PRESSURES

AUGUST INFLATION will be among the week's key economic data releases, with both consumer price index (CPI) and wholesale price index (WPI) figures due on 14 September. Weak and uneven monsoon rainfall and higher fuel prices are expected to keep food prices elevated. Food inflation rose to 5.5% in July from 5.2% in June, with the increase broadening across individual items. A *Mint* analysis showed that the number of CPI items which saw a rise in inflation increased from 199 in April to 238 in June, before coming down a bit to 228 in July. Meanwhile, the number of items seeing a fall in prices came down from 149 in April to 108 in June, before edging up to 115 in July.

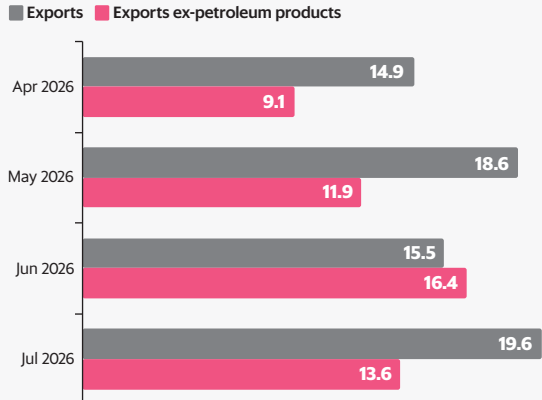
Among food items, ginger inflation rose to 83.6% in July from 50.4% in June, while garlic inflation jumped to 35.4% from 17.9%. Onion inflation also rose sharply, to 22.5% from 4.7%. Core inflation stood at 4% in July, while transport inflation was 4.4%. With Brent crude above \$100 a barrel, the August inflation data will show whether higher food and fuel costs are spreading to a wider set of prices.

EXPORT PULSE

INDIA'S AUGUST trade data will be released this week, with merchandise exports having grown strongly in the first four months of FY27. Petroleum products have been a key driver, with exports rising 67.6% year-on-year to \$6.92 billion in July, helping total merchandise exports reach a record \$44.24 billion, up 19.6%. In April-July, exports rose 42%, against a 15% decline in the same period last year. Excluding petroleum products, export growth declined to 13.6% in July. The shift reflects disruptions to fuel supplies from Russia and West Asia, with Indian refiners supplying more diesel overseas. As crude prices again near \$100 a barrel, a higher import bill could offset some export gains. The August data will show whether export data is broad-based or remain concentrated in a few sectors, while the import basket will indicate the pressure from oil, gold and other major commodities. It will also offer an early indication of whether India's external position is becoming more vulnerable to the latest oil shock even as exporters report stronger orders.

India's exports stay strong, with petroleum products driving much of the growth

Year-on-year growth (in %) in...

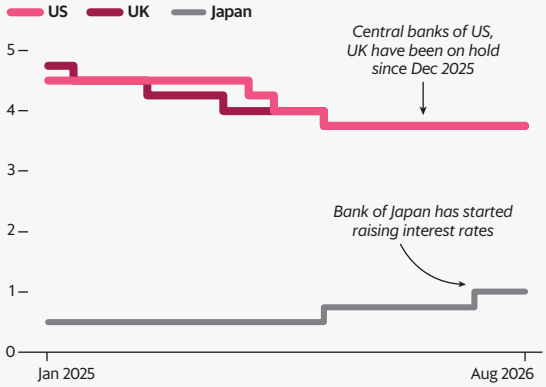


Source: Commerce ministry, Mint calculations



Central banks will face a tougher call on interest rates amid rising price pressures

Interest rate (in %) trajectory of countries set to deliver policy decisions in this week



Source: Central banks of respective countries, Trading Economics



POLICY WATCH

THREE MAJOR central banks will announce interest rates decisions this week, with the US Federal Reserve, Bank of England and Bank of Japan facing different inflation and growth pressures.

Since January 2025, the Fed has cut its policy rate by 75 basis points to 3.75%, while the UK has lowered rates by 100 basis points to 3.75%. Japan, however, has raised its key policy rate by 50 basis points to 1%.

The Fed meets on 15-16 September, with higher oil prices and inflation still above target, at 3.4% in August, complicating the case for further easing. Some economists expect a rate increase before the end of 2026. The Bank of England is expected to hold at 3.75%, while the Bank of Japan is expected to raise its rate to 1.25% on 18 September.

For India, the key implication is a widening gap between domestic and global rates. Higher US and Japanese rates could strengthen their currencies, reduce foreign investor demand for Indian assets and put further pressure on the rupee.

DRAINING LIQUIDITY

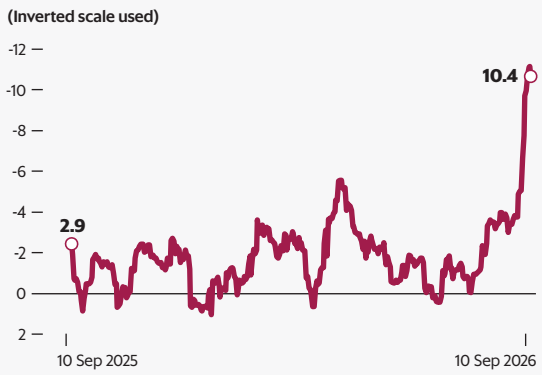
THE RESERVE Bank of India (RBI) will begin its ₹1 trillion open-market bond sale this week as the banking system grapples with a large liquidity surplus following heavy foreign-currency inflows. Banks mobilized \$136.4 billion through the RBI's special swap facility by 31 August, including \$127.2 billion through the FCNR(B) window. Systemic liquidity rose to ₹10.43 trillion, while core liquidity crossed ₹14 trillion, according to RBI data.

RBI will sell government securities in three tranches: ₹50,000 crore on 17 September, and ₹25,000 crore each on 21 and 28 September. The sales will absorb some of the surplus, but could also put upward pressure on bond yields as more government securities enter the market. The liquidity surplus is likely to remain a focus for the RBI even after the first round of OMO sales.

Emkay Research expects durable liquidity to remain above the RBI's preferred range, suggesting that further liquidity absorption measures could remain in play. For markets, the key watch will be how quickly the RBI drains the surplus and how bond yields respond.

Banking liquidity surplus rose sharply in Sep amid foreign currency inflows

Net liquidity injected by RBI (in ₹ trillion), daily



The RBI reports system liquidity as the net position under the Liquidity Adjustment Facility (LAF), with negative values indicating surplus liquidity and positive values indicating a deficit.

Source: Reserve Bank of India, CMIE



Markets gear up for a fresh round of IPOs this week, led by NSE and Hero Motors

Mainboard IPOs scheduled to open for subscription this week

Scheduled IPOs	Issue size (in ₹ crore)	Subscription dates
NSE India	22,561.57	17-21 Sep
Hero Motors	1,000	16-18 Sep
SS Retail	500	16-18 Sep
Sonaselection India	141.57	17-21 Sep
Jindal Supreme	124.88	16-18 Sep

Source: Securities and Exchange Board of India



IPOs GALORE

INDIA'S PRIMARY market is headed for a busy week, with several IPOs set to open as investors weigh a fresh set of equity offerings. The NSE's much-awaited IPO will draw the most attention when it opens for subscription on 17 September. Hero Motors, SS Retail and Jindal Supreme are scheduled to open on 16 September, while the Sonaselection India issue will open on 17 September.

NSE's issue, at about ₹22,562 crore, has been pared back from the much larger offering initially proposed. It remains entirely an offer for sale, with existing shareholders selling their stakes rather than the exchange raising fresh capital. Some shareholders have opted to sell a smaller portion of their holdings, allowing the IPO to proceed without increasing its size. The IPO will give existing investors an opportunity to monetize their holdings while bringing NSE's ownership structure into sharper focus. The price band and valuation will be closely watched given the scale of the offering and NSE's strong financial performance.

STRAIGHT
FORWARD
SHASHI SHEKHARRespond to this column at
feedback@livemint.comTHE INTERNET AGE
CAN BRIDGE WHAT
TONGUES DIVIDE

Did you notice? Last week, in a bid to address Gen Z and Gen Alpha, Prime Minister Narendra Modi chose Hindi as the medium of communication. He could have chosen his mother tongue Gujarati instead, if he wanted, as the event was being organized at Vadodara. However, it was evident Modi wanted to send his message to the larger audience. Hindi, thus, was the right choice.

This is the reason he chose Varanasi along with Vadodara as a perfect option from where to contest the 2014 Lok Sabha elections. The corridors of power buzz with an old pearl of wisdom that all roads to New Delhi pass via Uttar Pradesh. No wonder before Modi, Uttar Pradesh has given seven prime ministers to the country.

The importance of Hindi and the Hindi belt is acutely articulated by politicians from the non-Hindi belt. After prime minister Jawahar Lal Nehru's demise, the Congress Party requested party president Kumaraswami Kamaraj to become the Prime Minister. He declined the offer insisting he didn't know Hindi which was necessary to assume the throne of Delhi.

On the eve of Hindi Day I can say with pride that our language, Hindi, is indeed acquiring a global footprint. If we believe the data released by the international database Ethnologue, the total number of people who can speak, understand and use Hindi language stands at over 610 million. Ninety per cent of them live in India. In the past few months I have travelled to many countries including China, Georgia, Turkiye and heard the term *namaste* quite frequently. *Namaste* has emerged as the quintessential signature of Indians.

The majority of Hindi speaking population outside India is concentrated in Nepal, United Arab Emirates, the US, Mauritius, Fiji, Guyana, Trinidad, Britain and Canada. Fiji and Mauritius were populated by Hindi speaking Indians. If we count the GDP of all the above-mentioned countries, the total will be in the vicinity of 50% of the global GDP. It's no surprise that 30–40 million NRIs regularly contribute financially to their relatives, religious institutions, saints, etc. back home. Remittances are an important component of adding foreign currency to our exchequer.

If we are proud of our language then we should also respect other regional languages

However, let me be clear that this isn't the only source of foreign capital. Our artists and films that earn in foreign markets contribute substantially to our exchequer. It's said that if you want to have leverage over a country you must send your people even before

opening an embassy. This is the reason we see politicians in Britain, the US and Canada celebrating Hindu and Sikh festivals. These countries have witnessed a large migration of Indians since the 19th century.

Let's talk about our own country. Before Independence, when Mahatma Gandhi along with his close associates tried to establish Hindi as the national language, some Congress leaders from the non-Hindi-speaking states raised their concerns. It was decided that for the initial 15 years every state will use English for official work and then a decision on the language would be taken. Since then Hindi couldn't become a national language. But there's no need to feel despondent.

If we are proud of our language then we should also respect other regional languages. Whatever politics or politicians might say, languages can act as bridges between people and not be a divisive tool. We Indians have proved it. Had it not been the case then the language movements during the 1960s and 1970s would have ripped the country apart.

However, the age of artificial intelligence offers us a unique chance to correct our past mistakes. Today anyone can easily watch films of south Indian actors such as Mammootty, Mahesh Babu, Mohan Lal, Vijay and Allu Arjun dubbed in Hindi. In November 2024 during the release campaign of *Pushpa-2* trailer, South Indian star Allu Arjun came to Patna. A crowd of 150,000-200,000 people gathered to welcome him. Most were those we call Gen Z or Gen Alpha.

Social media, too, is playing its part in bridging the gap creating a new language, which is an amalgamation of words and terms from different local and foreign languages. It makes me wonder if we are witnessing an emergence of a new international lingua franca? If this is the case, the computer and internet age will achieve what our forefathers could only imagine.

As far as Hindi is concerned, I am as confident and optimistic about its future as I am proud of its glorious past. Best wishes to all on Hindi Day.

Shashi Shekhar is editor-in-chief, Hindustan. Views are personal.

Nabard check finds RRBs
short on cyber, digital skills

One of the bigger challenges is that 27 out of the 28 RRBs operate entirely on-premises

Harsh Kumar
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NEW DELHI

The 28 regional rural banks (RRBs) have significant gaps in cybersecurity, data governance and digital capabilities, according to an assessment by the National Bank for Agriculture and Rural Development (Nabard), seen by *Mint*, and two government officials aware of the findings.

While only 11 RRBs have a fraud risk management system, none rates itself as largely or fully compliant with data-protection readiness. Not a single RRB has analytics or advanced data solutions. Cybersecurity, compliance and data capabilities emerged as the sharpest gaps, with the country's apex development finance institution for agriculture and rural development describing them as the "biggest capability gap" and "weakest link".

The findings come against the backdrop of rising financial fraud in the country, with complaints involving a total ₹55,050 crore between 2021 and 2025, as per a government document reviewed by *Mint*. The 28 RRBs collectively hold ₹7.7 trillion in deposits and ₹5.8 trillion in advances.

A stark example of the cyber risks facing RRBs was the ransomware attack on C-Edge Technologies in July 2024. The State Bank of India and Tata Consultancy Services joint venture provides technology services to several



While only 11 RRBs have a fraud risk management system, none rates itself as largely or fully compliant with data-protection readiness.

MINT

cooperative banks and RRBs.

Following the attack, National Payments Corporation of India (NPCI) temporarily isolated C-Edge from retail payment systems, including UPI, NEFT, RTGS and ATM services, disrupting around 200-300 cooperative banks and RRBs.

Despite the scale of their operations, digital adoption and functionality remain limited. The median monthly transacting users account for just 12% of registered mobile and internet banking customers. Only four RRBs offer Unified Payments Interface (UPI) through their mobile banking applications, while just two allow customers to open loan accounts digitally. The merchant ecosystem is similarly limited, with BHIM QR available at 10 RRBs, point-of-sale (PoS) terminals at six, and BHIM Aadhaar Pay at three, per the government document.

The bigger challenge is in the underlying digital architecture, with 27 RRBs operating entirely on-premises and only one using the public cloud.

"In addition, 19 of these RRBs don't have a business process management solution. Only eight RRBs have data warehouses, and none have fully digital regulatory reporting. Fraud risk management systems are present in only 11 RRBs, with 12 of them not having a security operations centre (SOC) and 12 RRBs not

₹55,050 cr
Financial fraud
reported between
2021 and 2025₹7.7 tn
The total deposits
that regional rural
banks holdModi flags tech 'weaponization' Brics business council pushes
for supply-chain resilienceHarsh Kumar, Ramita Mishra &
Bankinkar Pattanayak

NEW DELHI

Prime Minister Narendra Modi on Sunday flagged the 'weaponization' of technology and critical minerals as potential barriers to progress, highlighting the need for inclusivity in technology adoption.

The warning comes at a time when technology and critical minerals are increasingly becoming strategic assets, with control over their supply and access carrying implications for economic growth and national security. For developing economies, unequal access could deepen existing technology gaps and make it harder to benefit from advances in areas such as artificial intelligence and clean energy.

Addressing heads of state and other senior leaders on the second and final day of the Brics Leadership Summit in New Delhi, Modi listed steps endorsed by the grouping, including efforts to bolster supply chains, link small busi-



Prime Minister Narendra Modi.

PTI

nesses to markets, support start-ups and innovators, and strengthen pandemic prevention mechanism, to benefit a wide range of stakeholders across member nations.

Modi also called for balancing development with environmental protection, in a renewed push for sustainability, citing India's age-old traditions to assert that the two are not mutually exclusive.

Brics' strength lies in its diversity and cooperation, he said. "We may be rooted in different realities but together we rise through cooperation and blossom for humanity," he

said. "May our diversity remain our identity, our cooperation become our inspiration, and our progress serve the cause of all humanity."

Brics' members have agreed on an Integrated Early Warning System for the prevention of infectious diseases and firmed up data-integration norms for disaster-management warnings, he said.

Similarly, the Brics Logistics Supply-Chain Cooperation Framework will make supply chains more reliable and resilient, he said.

The framework is a consensus-based mechanism for technical exchanges and knowledge-sharing on cargo and shipping services, localized assembly and manufacturing ecosystems.

Conflicts are rising globally, while climate disasters and supply-chain disruptions have shown that their impact can span sectors and geographies, Modi said, highlighting resilience as one of the key themes of the current summit.

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For an extended version of this story, go to livemint.com.

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NEW DELHI

The Brics Business Council has called for a supply-chain resilience framework and deeper cooperation in artificial intelligence (AI), digital infrastructure and advanced manufacturing, as the grouping seeks to turn its combined economic capabilities into greater trade, investment and technology links.

The recommendations, presented during India's Brics chairmanship, span four pillars—resilience, innovation, cooperation and sustainability—and seek to move the grouping from broad areas of alignment towards practical business opportunities.

Speaking at the Brics session on *Resilience, Innovation, Cooperation and Sustainability* on Sunday, Jai Shroff, chair, Brics Business Council and chairman and group chief executive, UPL Ltd, said the recommendations were



Council recommendations cover four main pillars.

PTI

intended as a guide for the four pillars of India's chairmanship.

"The council proposes a supply chain resilience framework for Brics to strengthen information sharing and preparedness during the disruption," Shroff said, while also pointing to the scope for pilot value chains in select sectors based on the complementary strengths of member economies.

Shroff said Brics brought together significant economic capabilities across food, fuel, fertilizer, manufacturing, tech,

capital, natural resources and talent. The opportunity, he said, was to connect these capabilities more effectively through greater intra-Brics trade and investment, stronger value chains, technology sharing and new business partnerships.

The resilience pillar also covers dependable supply chains, food and energy security, modern infrastructure and diversified production networks, particularly in the context of disruptions in recent years.

Innovation is the council's second focus. Technology, Shroff said, was transforming every part of the economy, from farms and factories to finance, logistics and energy.

The report calls for deeper cooperation in artificial intelligence, digital infrastructure and advanced manufacturing, besides connecting business technology providers and innovation ecosystems across Brics, he said.

For an extended version of this story, go to livemint.com.

Rural Self Employment Training Institutes shift to digital assessments

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NEW DELHI

As part of India's skill push, the country's 647 Rural Self Employment Training Institutes (RSETIs) are moving their assessment and certification processes from largely offline, paper-based systems to an end-to-end digital ecosystem, said two people aware of the development.

This comes against the backdrop of the Union government's push to standardize skill assessment and improve transparency across the

expanding network. Traditionally, RSETI assessments involved physical documentation, manual recording of scores, coordination to assign assessors, and paper-based certificates.

Certificates will now be blockchain-enabled, carrying unique identifiers and QR codes for instant verification by banks and employers. Officials say this will strengthen the link between training, certification and access to credit schemes such as Mudra and Prime Minister's Employment Generation Programme (PMEGP), helping rural youth turn skills into income.



India's 647 RSETIs are also moving their certification processes to an end-to-end digital ecosystem.

MINT

This reform will make assessments faster and more reliable, while linking skills, certification, and credit to help

rural youth turn training into real livelihoods, Rohit Kansal, secretary, ministry of rural development, said.

The reform comes as RSETIs expand their reach, training over 6.35 million candidates to date. With each institute mandated to train 1,000 candidates annually, the digital shift is expected to make India's skilling architecture more credible, efficient and outcome-driven.

RSETI 2.0 represents a significant governance reform that goes beyond mere digitization, according to officials. With the expansion of the RSETI network and the growing number of trainees, strengthening assessment and certification has become a priority.

A key component is the digitization of formative assessment. Scores would be recorded through a digital score matrix aligned with the approved assessment guide, qualification pack, National Occupational Standards and Module Performance Criteria. Institutes can enter, review, verify and correct scores before final submission, reducing clerical errors.

All administrative district headquarters in India are now connected to the internet, while 6.31 lakh villages have been covered by 4G services provided by BSNL and other telecom operators. India has

around 6.5 lakh villages, indicating that the vast majority of villages now have access to 4G connectivity.

Also, summative assessments will be conducted through computer-based testing (CBT) using an approved question bank mapped to prescribed modules, occupational standards and performance criteria. Questions would be available in regional languages and follow defined difficulty levels. Automated evaluation is expected to speed up result processing while reducing manual intervention.

For an extended version of this story, go to livemint.com.

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First published in February 2007 to serve as an unbiased and clear-minded chronicler of the Indian Dream.

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Zeta targets FY27 profitability as customers scale

Mansi Verma
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MUMBAI

Zeta, a homegrown banking-technology company that provides software infrastructure to financial institutions, is targeting full-year profitability in its global business in fiscal year 2026-27 (FY27), as customers it spent years onboarding and building technology for move into the scaling phase, top executives told *Mint*.

The company has reported several quarters of operational profitability in its global business, while its India business has been profitable for more than three years, said Ramki Gaddipati, chief executive Asia Pacific, global chief technology officer and co-founder of Zeta, on the sidelines of the Global Fintech Fest held in Mumbai recently.

"This year will be a full year of profitability," he said.

The company currently has annual revenue of more than \$100 million, with roughly 75-80% coming from the US and 20-25% from India. While the US is its larger revenue market, India remains strategically important because of the depth of its bank relationships, deal pipeline and growth prospects.

Zeta has long sales and implementation cycles, with revenue scaling only after a solution goes live and customers add users and transaction volumes. "As the fruits mature, you start getting the results," said Sivaram Kowta, president, Zeta India.

Once a solution goes live, revenue grows as customers add users and transaction volumes. Zeta's focus, Gaddipati said, is on large, end-to-end technology projects rather than small pilots.

Earlier last year, the banking software provider raised \$50 million from US-based Optum, a subsidiary of United-Health Group, at a valuation of \$2 billion.

Founded in 2015, by Bhavin Turakhia and Gaddipati, Zeta



Ramki Gaddipati, co-founder of Zeta.

onboards banks for an end-to-end technological revamp.

In October 2025, *Mint* reported that Zeta was also looking to expand its India business through large bank partnerships.

Its full-stack platform powers core banking systems, credit card issuance and digital banking applications. Its India journey took off with HDFC Bank, which turned to Zeta to rebuild its PayZapp app and build a second credit card issuance platform, in addition to its existing one, as part of a broader effort

Zeta's full-stack platform powers core banking systems, credit card issuance and digital banking applications

to strengthen its consumer-facing technology stack.

The partnership marked a milestone for Zeta, which had earlier worked with RBL Bank, Axis Bank and

IDFC First Bank on more limited projects such as API integrations and authentication systems.

Zeta's platform can power products including credit cards, debit cards, UPI payments and digital banking services. But large new partnerships also require significant upfront investment in people and implementation.

"New customers bring in both a lot of revenue and a lot of work," Gaddipati said.

Agentic commerce is emerging as another potential growth area, particularly as banks prepare for AI agents to make payments on behalf of customers.

For an extended version of this story, go to livemint.com.

Data centres lift genset sales

Data-centre expansion could create a ₹1.35 trillion opportunity for India's generator manufacturers by 2030

Yadukrishna C S
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MUMBAI

The data-centre boom in India has been a boon for electric generator manufacturers. Cummins India Ltd's share of revenue from data centres widened to 14% in fiscal year 2025-26 (FY26) from less than 2% seven years ago. Kirloskar Oil Engines Ltd is eyeing data centres as a key revenue driver while targeting \$2 billion in annual revenue by FY30. Sterling & Wilson's energy subsidiary, Sterling Green Power Solutions Pvt. Ltd, is said to be planning a ₹1,500 crore public listing while fielding data-centre orders of above ₹3,000 crore.

Electric generators are mandatory in all data centres as infrastructure that adds redundancy to operations. In most cases, diesel-powered generators, such as what Cummins sells, are popular for their proven reliability and ability to switch on rapidly.

India expects data centres to add 26.3 gigawatts (GW) of demand by FY32 but building the grid to support them could cost several trillions of rupees and take years. With data centres operating continuously, generator sets have become imperative to keep their IT infrastructure, cooling systems and lighting running in the event of an outage.



Electric generators are mandatory in all data centres.

REUTERS

Generators accounted for almost 9% of total data-centre capital expenditure, brokerage PL Capital said in a note on 16 April. With data centres spending ₹65 crore per megawatt and with an estimated 2.2GW in additional capacity expected by FY30, PL Capital projected a net revenue opportunity of ₹1.35 trillion by 2030.

Cummins India, which is 51% owned by US parent Cummins Inc., has been the biggest beneficiary.

"For the full year, the data-centre business would have contributed

30% to 35% of our overall power generation domestic revenue," Shveta Arya, managing director of Cummins India, told analysts on 29 May.

With domestic power generation earning ₹4,758 crore for Cummins in FY26, data centres contributed up to ₹1,665 crore in FY26, according to *Mint* research.

Amit Anwani, lead analyst at PL Capital, said Cummins accounted for 55% of all generators sold to data centres as of June. Kirloskar Oil Engines, US engineering giant Caterpillar and MTU, the power systems brand

owned by UK-based Rolls-Royce, accounted for the remainder.

"Cummins being an early entrant into the market, with a global footprint, has major hyperscalers as clients already," Anwani said. *Mint* could not independently determine its clients. "Cummins India's total sales for FY26 stood at ₹1,950 crore," a company spokesperson said in an emailed response to *Mint*. "However, we do not disclose segment-wise revenue contributions as a percentage of overall company revenue."

Nevertheless, Cummins India's data-centre generator set revenue appears to have grown faster than originally projected. In October 2019, Ashwath Ram, then managing director of Cummins India, told analysts that data centres generated ₹75-80 crore for the company. This, according to *Mint* research, was the first time that Cummins revealed revenue from data centres.

"It is growing at a CAGR of 10-12% annually," Ram said at the time.

However, data centres have grown at over 34% annually for the company in the intervening seven years. In January 2021, Ram told analysts the company powers Microsoft's and Amazon's India data centres.

While Kirloskar Oil Engines has not disclosed a breakup of revenue, chief executive officer Rahul Sahai told *Mint* in an interview on 2 September that data centres are important revenue drivers in the near future.

"We expect to grow rapidly in that space and that is bound to happen from a level of supply and service entrenchment in India," Sahai said, adding that by 2030, Kirloskar OEL is targeting \$2 billion (₹19,000 crore) in

operating revenue. Financial filings show ₹7,701 crore in annual operating revenue for the company in FY26.

"Last year, we supplied products to 25 data centres. These products start at 750 kVA (kilovolt-amperes, a measure of electric power capacity) and we go all the way to 4,000-5,000 kVA. We can support any requirement of data centres,"

Sahai said.

Sterling Green Power is privately held and has not disclosed a revenue figure from data centres yet. According to media reports in July, it is preparing a ₹1,500 crore initial public offering later this year. *Mint's* emails to Sterling Green Power remained unanswered.

For an extended version of this story, go to livemint.com.

Xi pitches vision for artificial intelligence as China duels with US

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Chinese President Xi Jinping has sought to turn the annual Brics summit into another platform for championing Beijing's vision for artificial intelligence (AI), as it vies for global influence over the technology with the US.

China will lead the creation of what Xi called a BRICS "community" for open-source AI. Speaking on Sunday in New Delhi, he said the initiative will "support the cooperation in developing and applying large language models," as well as holding AI seminars and training courses for members of the club of

major emerging economies.

A day earlier, Xi welcomed BRICS nations to join a new group of nearly 30 countries set up by Beijing and called the World AI Cooperation Organization. Brics must "strengthen cooperation in the field of AI, encourage open source, openness, collaboration and sharing," he said.

Xi is pushing for greater sway as global AI governance becomes a new battleground for the world's leading powers. Beijing is looking to build an open-source AI ecosystem that offers its citizens and global customers a cheaper alternative to US technology, while American developers including OpenAI and Anthropic prefer closed models.



Chinese President Xi Jinping at the Brics summit in New Delhi.

AP

For now, it wasn't immediately clear if China's vision is winning favour from other BRICS members such as the United Arab Emirates and India.

A joint declaration issued

and reliability."

Beijing will likely push for AI governance again when it hosts the Brics Summit in 2027. State media has suggested that next year's

focus will be on topics including AI, digital economy and green development.

China's open-source approach was also invoked by state security minister Chen Yixin as a way to ensure AI security and equity.

Certain countries are using blacklists, closed-source ecosystems, and tech curbs to "sever global AI industrial chains and supply chains,

exacerbating the imbalanced development of the global AI industry," Chen wrote in a journal article made public Saturday.

Still, Beijing also maintains there's a limit to openness.

Xi emphasized the need to balance development and security at his debut appearance at China's top AI summit in July. A social media

account frequently used to signal official policy thinking has said China should restrict access to the most powerful features of artificial intelligence models.

MINT MEDIA MARKETING INITIATIVE

Role and importance of fund managers: The people behind mutual funds

When investors think about mutual funds, they often focus on categories, returns, or Systematic Investment Plans (SIPs), but one important element that often goes unnoticed is the role of the fund manager. Behind every mutual fund is a team of professionals responsible for making investment decisions, managing risks, and ensuring the portfolio remains aligned with the fund's objective.

They continuously evaluate economic conditions, company fundamentals, interest rates, and market developments to make informed investment decisions. Their objective is to manage money in a disciplined and structured manner within the investment mandate of the scheme.

This becomes particularly valuable because it is also about avoiding unnecessary risks and maintaining portfolio discipline.

Mr Investor: I understand mutual funds invest in stocks and bonds, but why do I need a fund manager?

smarTomorrows by **CANARA ROBECO**
An Investor education and awareness initiative **Mutual Fund**

Can't I just invest directly?

Mr Mutual Fund: You certainly can invest directly, but managing investments requires time, research, monitoring, and decision-making. A fund manager brings professional expertise and a structured process to help manage portfolios efficiently.

For example, imagine two investors have ₹10 lakh each to invest.

Investor A purchases 6-7 stocks based on news head-



lines and social media discussions. Investor B invests through a diversified mutual fund managed by professionals.

If one or two companies underperform, investor A's

portfolio may be significantly impacted. In contrast, the mutual fund portfolio continues to be managed through diversification, portfolio review, and researched decisions.

A simplified comparison in the table below helps explain the difference.

Mr Investor: So does the fund manager make all decisions alone?

Mr Mutual Fund: Not at all. Fund managers work with analysts, economists,

risk teams, compliance professionals, and investment committees. Investment decisions are typically supported by research frameworks and portfolio processes.

Mr Investor: I watched a video where someone claimed investing is easy and fund managers are unnecessary. What should I think about that?

Mr Mutual Fund: Investing may look simple in rising markets, but managing money across different market cycles requires discipline and experience. Just as we consult trained doctors for healthcare instead of diagnosing ourselves online, professional investment management helps bring structure and expertise to financial decisions.

Fund managers do not eliminate market risk, but they help manage it. Understanding their role helps investors appreciate that mutual funds are not simply products, they are professionally managed investment solutions designed to support long-term financial goals.

Aspect	Direct Investing	Investing Through Mutual Funds
Research	Investor-managed	Dedicated research teams
Portfolio Monitoring	Requires active tracking	Continuous monitoring
Diversification	Limited by capital and expertise	Diversified portfolio
Risk Management	Self-managed	Structured investment process
Decision Making	Individual judgement	Professional fund management

Mutual Fund investments are subject to market risks, read all scheme related documents carefully.
Disclaimer: Know Your Customer (KYC): It is mandatory to complete KYC process before investing in Mutual Funds (MF). For this, submit the completed KYC Form at any Asset Management Company (AMC) branch or nearest Point of Service (POS) or through a financial advisor. For KYC Form, click link: <https://www.canararobeco.com/web-content/uploads/2025/02/cr-central-kyc-registry-application-form-individual.pdf>. If you would like to update any KYC information (address, contact details etc.), submit the KYC Form with updated details at your nearest AMC branch or POS. Check KYC status at Know Your Status (www.kyc.kyc.com). For change of bank details registered with any MF, download bank mandate change form from that MF's website, and submit the form to that MF's branches or Official Points of Acceptance. SEBI Registered Mutual Funds: Investors should deal only with registered Mutual Funds, details of which can be verified on the SEBI website under "Investment and Market Infrastructure Institutions" at <https://www.sebi.gov.in/investor-education>. For complaints, contact the Investor Service Department of the respective MF. For contact details, refer scheme related documents of MFs. In case, the investor is not satisfied with the resolution, the investor can complain on SCORES platform (SEBI Complaints Redress System) at <https://www.sebi.gov.in/scores>. For cases, where the investor is not satisfied with the resolution by AMC/MF or through SCORES, the investor can complain on Online Dispute Resolution Portal ("ODR Portal") at <https://amarodra.in/login>. This material is a part of the Investor Education and Awareness Initiative by Canara Robeco Mutual Fund. SEBI Registered Name: Canara Robeco Mutual Fund SEBI Registration Number: MF00493/4

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Tata Sons IPO: no quick relief for SP, but options may widen

The catch is that any lifeline could take years to arrive for the debt-strapped SP Group

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The Reserve Bank of India's push for Tata Sons to list has handed its largest minority shareholder Shapoorji Pallonji Group a potential lifeline. The catch: it could take years to arrive. For the debt-strapped SP Group, a listing could offer a way out—making its 18.37% stake more liquid and providing a market-based valuation that could help resolve a long-running dispute with the Tata Group over what the holding is actually worth.

The problem is timing. A Tata Sons listing, even if it goes ahead, could take several years, while the SP Group is facing near-term debt repayments and tight liquidity, according to experts. RBI's decision could also reduce the urgency for the Tata Group to settle its differences with the SP Group, potentially pushing the negotiations down its list of priorities.

That could further complicate the ongoing settlement talks, including a possible share swap under which the SP Group would receive shares in listed Tata Group companies in exchange for its stake in Tata Sons. "The real story here isn't the listing mandate," said Aurelia Menezes, partner at King Stubb & Kasiva, a corporate law firm. "What matters more for the SP Group is the settlement track running in parallel." It would be strategically preferable for the SP Group to conclude its negotiations with the Tata Group over a potential share-swap deal, which are reportedly stuck over a disagreement on valuations, Menezes said.

"If that deal closes, SP Group exits the cap table entirely with liquid assets in hand, a materially better outcome



A listing could make SP Group's 18.37% stake more liquid and help resolve a long-running dispute with the Tata Group over the actual worth of its holding. REUTERS

than waiting for a listing whose valuation the two sides have never agreed on," she said. She summarized the calculus for the group as "settle now for liquidity, or stay in for leverage that may take years to pay off."

Sons is not merely a regulatory complication but a necessary evolution. One that will reinforce corporate governance, deepen transparency and accountability," Mistry said in April. In contrast, Tata Trusts, which owns

DEBT DILEMMA

A Tata Sons listing could take years, while the SP Group is facing near-term debt repayments

RBI'S decision could also reduce urgency for the Tata Group to settle its differences with the SP Group

THAT could further complicate the ongoing settlement talks, including a possible share swap

TWICE in the past year, SP Group chairman Shapoorji Mistry has pushed for listing Tata Sons

The SP Group did not respond to *Mint's* requests for comment.

Twice in the past year, SP Group chairman Shapoorji Mistry has publicly pushed for a listing of Tata Sons. "As I have stated earlier, we would like to reiterate that a timely listing of Tata

65.9% of Tata Sons, in a resolution in July last year, directed the board of Tata Sons to do everything to keep it private and to look at ways to give an exit to its largest minority shareholder, the SP Group. The Mumbai-based infrastructure and construction con-

glomerate faces a debt repayment of ₹3,500 crore by the end of September, a deadline that has already been extended twice, according to media reports. Across the group's promoter and operating entities, total debt is estimated at around ₹60,000 crore, according to multiple media reports.

The SP Group has not confirmed its overall outstanding debt. The group refinanced the bulk of its debt in July by issuing three-year zero-coupon bonds worth ₹15,200 crore at a yield of 18.95%, *Moneycontrol* reported. The same month, it also issued dollar-denominated bonds worth \$650 million at a yield of 14.5%.

The RBI ruling, however, could work in the SP Group's favour by widening its strategic options and strengthening its negotiating position. "It now has multiple potential pathways: market-based monetization through a listing, a negotiated alternative settlement, or the option of retaining its strategic holding," said Monish G. Chatrath, managing partner of corporate risk consulting firm MGC Global Risk Advisory. "That optionality has an economic value of its own and potentially enhances its negotiating leverage."

"Ultimately, this is less about who wins a particular round and more about who has greater latitude to shape the endgame. The outcome will turn on the structure, valuation and timing of whatever solution the group and its shareholders ultimately arrive at," he said.

If Tata Sons lists on the bourses and the SP Group retains its shareholding, it could have key strategic advantages. The company's significant minority shareholding could afford it a seat on the Tata Sons board, said senior Supreme Court lawyer H. P. Ranina. For an extended version of this story, go to [livemint.com](#).

Why Tatas didn't get the relief Dilip Shanghvi firm got earlier

Shayan Ghosh & Varun Sood
MUMBAI/BENGALURU

The Reserve Bank of India's (RBI's) rejection of Tata Sons' attempt to deregister stands in contrast to a similar situation faced three years ago by another holding company: Dilip Shanghvi-backed Shanghvi Finance.

The company, fully owned by billionaire Shanghvi and his wife, was a promoter entity set up in 1989. RBI first classified it as an upper-layer non-banking financial company investment and credit company or NBFC-ICC in September 2022, among 16 companies it wanted to go public by September 2025.

RBI regulates 12 categories of non-banks. Companies such as Bajaj Finance and L&T Finance, whose primary business is lending, are categorized as investment and credit companies.

Shanghvi Finance applied to surrender its licence on 9 February 2023, after paying off ₹879 crore debt. This included ₹341 crore of short-term loans in FY22 and the remaining ₹538 crore of promoter loans, according to its filings with the ministry of corporate affairs. Shanghvi Finance was allowed to surrender its licence on 17 May 2023. Tata Sons is the only unlisted entity in RBI's latest August list of upper-layer NBFCs.

A core investment company (CIC) can remain unregistered on two occasions. First, if it has an asset size below ₹100 crore, irrespective of whether it is accessing public funds or not. Second, if it has an asset size of ₹100 crore and above, but is not accessing public funds. Following RBI approval, Shanghvi Finance is now an unregistered CIC.



Tata Sons is the only unlisted entity in RBI's latest August list of upper-layer NBFCs. REUTERS

Tata Sons faced a different fate. It also paid off the ₹21,813 crore loans and went debt-free before applying to RBI to deregister CIC in March 2024. After over two years of suspense, the central bank wrote a one-page letter to Tata Sons chief financial officer on 11 September that its request to surrender the registration "cannot be acceded to". This means Tata Sons will have to go for an initial public offering unless RBI reconsiders its decision or if Tata Sons wins a legal challenge.

"Ideally, the RBI should disclose why it wants Tata Sons to list," said Abizer Diwanji, founder of NeoStrat Advisors LLP. "Based on past interpretations, RBI suggests that even equity investments from companies sourcing public debt would qualify an investee company as a CIC."

After paying back debt, Tata Sons does not have access to public funds anymore, but continues to have so-called indirect access. This is because listed Tata companies including Tata Steel Ltd, Tata Chem-

icals Ltd and Tata Power Co. Ltd hold shares of Tata Sons.

"Decisions to list should be commercial and not regulatory, especially in this instance. The group and the regulator could engage in further discussions to reconsider this decision," said Diwanji.

While Shanghvi Finance's binding constraint was only ₹341 crore of bank loans, as the ₹538 crore of promoter loans

Tata Sons will have to go for an IPO unless RBI reconsiders its decision or if Tata Sons wins a legal challenge

were never public funds, Tata Sons had to exhaust nearly 60 times as much in public borrowings, and continued to have indirect public holdings. In June, RBI

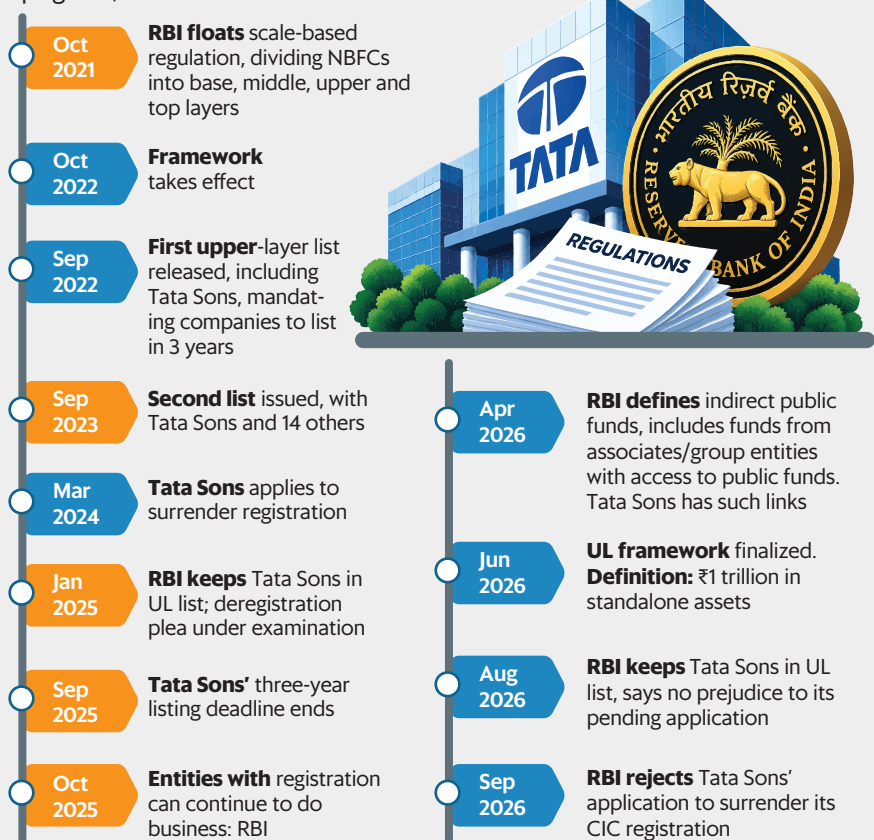
introduced a new classification based on size, classifying any non-bank with standalone assets of ₹1 trillion and above in the upper layer.

When read along with the previous guidelines that mandate listing of upper layer NBFCs, this meant that any NBFC with over ₹1 trillion in assets will have to eventually list.

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For an extended version of this story, go to [livemint.com](#).

Into a quagmire

Here's how Tata Sons got entangled in a regulatory quagmire, one circular at a time.



Source: RBI

mint

GOPAKUMAR WARRIER/MINT

Test looms for Tata Sons board meet amid rift in Trusts

Varun Sood & Satish John
BENGALURU/MUMBAI

Tata Sons Pvt. Ltd's governance framework faces a tough test at Thursday's board meeting, as a sharp rift between the representatives of its controlling shareholder threatens to stall key decisions on leadership and a potential public listing.

Tata Trusts enjoys unique rights over the functioning of Tata Sons, such as the right to choose a new chairman, and approve changes to capital structure that a potential IPO would bring.

Tata Trusts chair Noel Tata wants Tata Sons to remain private, a stance that trustees earlier agreed to, while Venu Srinivasan, the Trusts' vice-chairman and second nominee on Tata Sons' board, has reversed his stance and endorsed a public listing.

Tata Trusts' nominees on the board have veto rights over eight broad areas of Tata Sons, according to its articles of association (AoA). Three of them allow Trusts' nominees to have final say on changes in capital structure, pledging or



Sharp rift between representatives of its controlling shareholder threatens to stall key decisions on leadership and listing. BLOOMBERG

selling Tata group company stakes, and anything affecting Tata Trusts' shareholding in Tata Sons.

This means Tata Sons cannot independently decide on an IPO, throwing up a dilemma after the central bank's Saturday decision that essentially mandates a public listing.

Since a potential listing would change Tata Trusts' ownership from its current 65.9%, only a consensus between Noel, who wants to keep Tata Sons private, and Srinivasan, who wants an IPO,

can resolve the deadlock.

"There is no casting vote of Tata Sons chairman as the rules clearly say this decision is to be made by Tata Trusts," said a group executive. "Tata Trusts would ask Tata Sons to the board meeting to keep the group company private."

"Going to court," the executive answered when asked what options the Tata Group has now.

On 13 August, Sir Dorabji Tata Trust (SDTT), the largest shareholder of Tata Sons, accepted Chandrasekaran's

decision to leave and began the search for a successor. However, a charity commissioner order prevents Sir Ratan Tata Trust (SRTT), the other large trust, from making decisions.

Chandrasekaran heads Tata Sons' six-member board. Besides Noel and Srinivasan, the board includes group chief financial officer Saurabh Agrawal, and independent

directors Harish Manwani and Anita Marangoly George. Trustee Vijay Singh, who also favours a Tata Sons IPO, is no longer on the board of Tata Sons, though he continues as a trustee on SDTT.

Chandrasekaran's renewal as director on Tata Sons' board could not be taken up at the 18 August annual general meeting due to a lack of quorum, as SRTT could not jointly appoint a director with SDTT. This is because the Maharashtra charity commissioner prevents Sir Ratan Tata Trust SRTT from holding board

meetings or making decisions.

A Tata Trusts executive said signing the prospectus and related IPO documents as a promoter will be challenging because almost all trustees, except Srinivasan and Vijay Singh, have reaffirmed their stance on keeping the Group company private.

A separate clause, Article 104B, acts as a tie-breaker, but only when the two Trusts disagree on appointing directors.

Under Article 104B, when there is any difference between the SDTT and the Sir Ratan Tata Trust (SRTT), the majority of all trustees counted

in aggregate across both Trusts shall prevail.

For now, it is unclear whether SDTT would ask its nominees what stance to take and whether this clause would be used to break the deadlock between two of its representatives on the board of Tata Sons.

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For an extended version of this story, go to [livemint.com](#).

Tata companies holding slices of Tata Sons may see share price uptick

Ram Sahgal & Dipti Sharma
MUMBAI

A short-term pop could push up the stocks of seven Tata group companies, led by Tata Chemicals, which together hold 11.92% in Tata Sons, the holding company (holdco) of the conglomerate, after RBI rejected its submission to remain private. Tata Chemicals is expected to be a standout performer when markets reopen on Tuesday, as its roughly 2.5% stake in the holdco is valued at upwards of ₹17,407 crore after an estimated 40% holding company discount, were it to be listed. This is against its market capitalisation of ₹15,603 crore as of Friday.

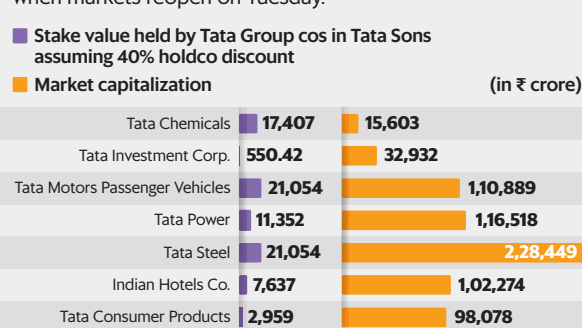
To be sure, Tata Sons receives dividend income

from Tata Group companies and proceeds from listed companies. Its standalone revenue totalled ₹42,366.5 crore and it reported ₹31,961 crore profit in FY26. However, these standalone numbers do not include the burgeoning losses from businesses incubated under the holding company. Tata Sons's four privately held businesses include Air India, Tata Digital, Tata Electronics, and lithium-ion battery cell manufacturing for electric vehicles under Tata Agratas, which reported a combined loss of ₹29,924 crore.

When a similar listing prospect emerged in March 2024, group shares surged rapidly before gains fizzled when Tata Sons sought to surrender its registration as a core investment company. Tata Chemi-

Future gains

Tata Chemicals is expected to be a standout performer when markets reopen on Tuesday.



Source: Exchanges, Market analysts

mint

PRATEEK KUMAR/MINT

cals rallied 39% in less than a week during that wave, while entities like Tata Motors Ltd, Tata Power Co., and Tata Steel Ltd also posted steep short-term advances.

The continuation of the likely momentum if the listing takes place, will depend upon whether Tata Sons accedes to the regulatory directive or mounts a legal challenge.

Tata Sons submitted an application to surrender its registration as an upper-layer non-banking financial services (UL-NBFC) company in March 2024, which the RBI rejected on Friday. In September 2022, RBI had directed the stock market listing of core investment companies or upper-layer NBFCs with an asset size of ₹1 trillion within three years.

"From a holding-company perspective, listed Tata companies that own stakes in Tata Sons could see greater price discovery for those investments following a listing, as an otherwise illiquid asset would have an observable market value," said Devang Bhatt, director, research - private wealth management, Spark Capital. "Tata Chemicals is one such company with an expo-

sure to Tata Sons and could therefore see greater visibility around the value of this investment. However, the ultimate impact on individual listed companies would depend on the valuation at which Tata Sons lists and the materiality of their holdings," he added.

Veteran investor Shankar Sharma added that there could be a 'short-term uptick' in the shares of companies holding stakes in Tata Sons. "I say short term because we don't know how the trusts having controlling stakes in Tata Sons would react post the RBI decision. If the regulatory dictat were to be legally chal-

lenged, that would change the picture," Sharma added.

To a query about Tata Sons' likely listing being a catalyst for a Tata group restructuring, Dhiraj Relli, managing director and chief executive of

HDFC Securities, said, "The IPO will force the conglomerate to preemptively overhaul its complex web of cross-holdings, corporate governance, and asset allocations to protect the group from external vulnerability".

Back in 2024, Tata Chemicals surged 39% from 1 March to ₹1,349 apiece on 7 March; Tata Investment Corp., which was in the trade-to-trade cate-

gory and holds a 0.08% stake, surged 28% to ₹9,757 apiece over the same period and ahead of the 1:10 share split in October last year. Trade-to-trade category bars intraday selling, which means delivery is compulsory on the same day.

Tata Power Co., which holds 1.65%, jumped 15% to ₹433 over the comparative period, and the demerged Tata Motors Passenger Vehicles, which holds 3.06% in Tata Sons, jumped 9% from 1 March to ₹1,065.60 on 5 March. Other companies, including Tata Steel (3.06% in Tata Sons) and The Indian Hotels Co. (1.11% stake), rose 6% and 1.35% each in the first week of March 2024, while Tata Consumer Products Ltd (0.43%) rose 6% between 1 and 11 March.

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PwC US, India tie up for JV to scale global consulting

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Auditing and consulting major PwC US and PwC India have signed a joint venture that will stitch together PwC India's Consulting business and PwC US Advisory's India-based capabilities into a single platform for its clients. Jointly owned and governed by both firms, the venture aims to position PwC India as a global player and serve as a single-destination hub for client consulting services. The financial terms of the agreement were not disclosed.

While the JV is yet to receive regulatory approval, the streamlining of services is expected to give the firm an edge against its rivals EY, Deloitte, and KPMG. These companies, collectively referred to as the 'Big Four', are also consultants, and in some cases may compete with consulting heavyweights such as Kearney, Bain & Co., and McKinsey & Co.

The transaction is expected to close in the first half of 2027. Until then, PwC US and PwC India will continue to serve clients through their existing structures and ways of working. The structural changes apply strictly to the consulting and advisory divisions, as local regulations prohibit such integration within the firm's audit practice.

Mint had reported these changes in PwC's advisory business in April. By realigning its consulting operations, the firm aims to break down legacy silos that historically slowed cross-



The joint venture is yet to get the regulatory approval. REUTERS

border collaboration. "The firms that win will be the ones that stop thinking about markets, capabilities, and delivery as separate pieces. That's what makes this combination so powerful," Paul Griggs, senior partner and CEO at PwC US, said in a statement on Sunday. "We're bringing the full breadth of our advisory talent in India together with PwC US—one

The operational shift comes as rapid advances in artificial intelligence disrupt the consulting sector

team with the relationships, expertise, and scale to deliver for our clients and the PwC network." Sanjeev Krishan, chairperson of PwC India and the incoming CEO of the new JV, said, "For PwC India, this is a testimony to the tremendous journey of growth that we have been on over the last five years and our position of strength in the network. It is a matter of great pride for us that PwC India now has an opportunity to play a greater role in the success of our global network."

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GIFT City eyes bigger chunk of aircraft leasing business

India's aviation market is expanding and airlines are building a large aircraft order book

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GIFT City is betting on niche financial segments such as aircraft and ship leasing to build a more competitive global financial hub, said Sanjay Kaul, managing director (MD) and group chief executive officer (CEO), of the financial services centre.

Indian airlines have historically structured much of their aircraft leasing and financing through overseas centres, leaving domestic financial centres with a smaller share of the business. GIFT City now wants to capture more of that activity as India's aviation market expands and airlines build a large aircraft order book.

"Major Indian airlines that operate now have an order book of around 2,000-plus aircraft, which is fully leased. Traditionally, all this leasing happens outside India because India did not have a leasing ecosystem," Kaul told Mint.

An estimated 80% of India's commercial fleet is financed and leased through entities in Ireland, the Cayman Islands, Singapore, or Tianjin. Ireland alone controls 29% of the global market for aircraft leasing, according to a September 2025 PwC report.

With aircraft leasing regulations now in place in GIFT City and the supporting ecosystem taking shape, GIFT City is looking to bring a larger share of this business onshore, Kaul added.

As of June, 237 aircraft had been leased from GIFT City, according to the International Financial Services Centres Authority's quarterly bulletin. Only 17 aircraft were leased in December 2023, the latest data showed.



Sanjay Kaul, MD and group CEO of GIFT City.

The Centre had also facilitated the leasing of 87 engines, 85 auxiliary power units, one aviation training simulation device and two landing gears. There are around 37 aircraft leasing entities operating from GIFT City as of

June. The development of a financing structure that can give banks greater comfort in lending against aircraft is another part of the effort.

Banks were previously hesitant to

lend directly to airlines for aircraft purchases because of the risks associated with the business and the specialised nature of aircraft financing, Kaul said.

The regulatory framework, introduced in 2021, now allows a special

AIR POWER

PLAN is to make GIFT City a natural base for firms seeking to finance, lease aircraft, ships

INDIAN airlines have structured their aircraft leasing and financing through overseas centres

BANKS were previously hesitant to lend directly to airlines for aircraft purchases

AIRCRAFT leasing is not the only niche segment where GIFT City is gaining traction

IT jobs make a comeback in AI garb

FROM PAGE 1

in spirit, conventional software, data, cloud, or digital transformation work," Bernstein analysts Venugopal Garre and Nikhil Arela said in a note dated 3 September.

According to a Mint analysis of job portals of Tata Consultancy Services Ltd, Infosys Ltd, HCL Technologies Ltd, Wipro Ltd and Tech Mahindra Ltd, there are at least 3,500 AI roles.

Top revenue-grosser TCS has at least 604 AI-related roles pertaining to IT developer, engineer, customer support and consultancy. Bengaluru-based Infosys, which is second ranked, has about 1,340.

The third-largest HCL Tech has about 1,376 roles with AI or automation titles, while the fourth-largest Wipro has at least 350 such openings in AI engineering and consulting.

On the other hand, at India's fifth-largest IT services firm, Tech Mahindra, about 42 roles of the 61 have AI-related titles or skill sets. The positions are technical lead, AI content analysts and GenAI consultants.

Tech Mahindra said the company sees this as an evolution of existing roles and not rebranding. "Most traditional job roles



Five of India's largest tech firms have 3,500 AI roles. MINT

are increasingly absorbing AI as a skill. There is currently only a small set of roles that are purely AI-focused. For most employees, it is essentially "what you do, plus AI," chief people officer Richard Lobo said. The other IT companies did not respond to Mint's queries.

A common thread in all postings is that most are traditional IT roles requiring use of AI tools in software maintenance, content, data analysis and even research purposes.

"They are doing it because

they need the candidate to have knowledge of using an AI tool, writing software, and collaborating with an AI tool. Like when Java came, a lot of jobs were in Java, now nobody blinks an eyelid if it's a Java job," said Aditya Mishra, MD and CEO, CIEL HR.

Bernstein analysts claim new jobs were not created for AI. "AI's employment promise, when viewed through evidence rather than excitement, looks less and less like a broad-based job-creation cycle and more like a profound redis-

tribution of economic gains," the analysts said.

This raises concerns about whether these firms have actually reshaped their organizations or selling old as new amid a technological inflection.

"We are clearly seeing this trend. In fact, it extends well beyond 40% of technology roles. Across the industry, positions that traditionally focused on software development, data management, cloud infrastructure and business analytics are increasingly being repositioned as AI-enabled or AI-powered roles," said Sanketh Chengappa, director and business head for professional staffing at Adecco India.

Phil Fersht, CEO of HFS Research, a Massachusetts-based IT research firm, said, "It hurts client relationships when providers sell the label rather than the capability," he said. "Clients are becoming much more sophisticated about AI and can quickly distinguish between someone who has completed an AI certification and someone who has actually deployed AI into a complex enterprise environment."

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India-bound tanker rates surge as West Asia crisis deepens

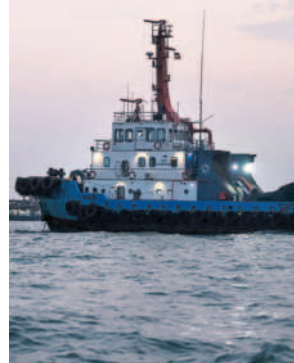
FROM PAGE 1

al-Mandab could worsen disruptions and force tankers carrying Saudi Arabian oil to take the Suez Canal route, adding another two weeks to the voyage and potentially further pushing up global oil prices, according to shipping industry executives. Oil prices are already around four-month highs, with benchmark Brent crude near \$105 a barrel.

West Asia accounts for about 30% of India's current oil and gas imports. The development is significant for India, as every \$1 increase in crude oil prices raises the annual import bill by ₹18,000 crore, affecting inflation and growth. In July, India's retail inflation rose to a 19-month high of 4.45%.

Devli of INSA added that tanker rates had eased to around \$70,000-80,000 a day about two months ago.

The increase in tanker freight costs comes as India's crude import bill for April-July this fiscal year has already reached \$63.37 billion, up 56% from a year earlier. This compares with a total oil import bill of \$123 bil-



West Asia accounts for 30% of India's oil and gas imports. AFP

lion in the previous fiscal year. The Indian crude basket was last recorded at \$115.98 a barrel on 9 September.

"The latest uncertainty in West Asia threatens to halt the revival of supplies and the eventual rise in prices adds to the supply constraints, as there are instances of Russian crude also being sold at a premium," said an executive with a refiner, one of the three people cited above, requesting anonymity.

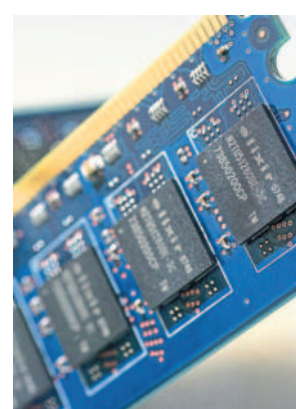
"There is very limited movement of ships around the Strait of Hormuz and the little that moves, paying hefty war risk

premium that has also gone up further high over the already elevated levels," said a UAE-headquartered logistics major DP World executive, who did not want to be named. DP World operates a global logistics and ports network across 80 countries and has a 10% share of global container traffic.

Queries emailed to the ministries of ports and petroleum and state-run refiners Indian Oil Corp., Bharat Petroleum Corp. Ltd (BPCL) and Hindustan Petroleum Corp. Ltd (HPCL) went unanswered.

The Centre launched the Bharat Maritime Insurance Pool (BMIP), a \$1.5 billion facility, in May, with a sovereign guarantee of \$1.4 billion to facilitate continuous maritime insurance coverage. However, an executive with an Indian shipping company, speaking on condition of anonymity, said Indian ships are currently not plying through the affected routes and are therefore not using insurance support.

For an extended version of this story, go to [livemint.com](#)



India's semiconductor sector has 3,557 companies. BLOOMBERG

India's chip sector draws \$1.4 billion, half of it since 2025

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India's semiconductor sector has attracted \$1.4 billion in all-time equity funding across 281 funded companies, with nearly half of this amount—\$701 million—raised since 2025 alone, according to data from Tracxn.

The findings come days ahead of SEMICON India 2026, the country's flagship semiconductor conference and exhibition, which will be held from 17-19 September at Yashobhoomi in Dwarka, New Delhi.

Prime Minister Narendra Modi will inaugurate the fifth edition of SEMICON India 2026 on 17 September, a megavent set to bring together global semiconductor industry leaders, government officials, state representatives, and sector experts as India builds on the momentum of its growing semiconductor ecosystem.

India is home to 3,557 companies in the sector, of which 142 have raised equity funding, out of 281 funded companies. The sector recorded \$228 million in funding in 2026 year-to-date, according to Tracxn.

Tessolve Semiconductor leads the sector in cumulative funding at \$213 million till date, followed by ILJIN Electronics (\$198 million) and VVDN (\$129 million). Electronic Manufacturing Services has led the sector's funding, securing \$313 million since 2025.

Embedded Hardware ranked second, with \$51.9 million raised since 2025—entirely within the trailing 12 months—while Power Management Integrated Circuits and Fabless Semiconductor Manufacturers were among the other leading business models by funding.

According to the report, the sector's funding rose from \$49 million in 2021 to \$473 million in 2025. The five-year funding compound annual growth rate (CAGR) stood at over 36%.

Bengaluru remained the dominant hub, home to 626 of the sector's 3,557 companies—about 18% of the total—and accounting for 40.1% of all equity funding raised to date. It was followed by Noida (16.4%), Gurugram (10.7%), Kochi (8.8%) and Hyderabad (6.2%) in terms of funding share. On exits, the report said acquisitions remained the primary route for Indian semiconductor companies, with the sector recording 62 acquisitions compared with 42 IPOs.

Backlash no bar: can popular stars thrive despite online trolling?

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Brands navigating India's volatile social media landscape are increasingly counting viral backlash to their star backers as a feature of modern discourse rather than a fatal flaw. While brands become cautious when the conversation starts affecting their own reputation, many also look beyond the volume of trolling and ask whether it actually affects consumer behaviour.

Actors Trisha Krishnan and Alia Bhatt, who have faced withering criticism over their personal lives and box-office

flops, rank as India's most popular actors in July, according to media consulting firm Ormax. Bhatt also ranked sixth in the list of India's top 25 celebrities with a brand valuation of \$93.9 million, according to Kroll, an independent provider of global financial and risk advisory solutions. Ananya Panday, another actor, often trolled for industry connections, was also part of the list with a valuation of \$48.5 million.

"Brands don't necessarily see polarization itself as a red flag; they look at what is driving it, how sustained it is, and whether it genuinely changes the celebrity's relationship with the audience the brand

wants to reach," said Jag Chima, co-founder at influencer marketing and talent management agency IPLIX Media and Sarkar.

Someone can be polarizing online and still have significant cultural relevance and commercial value, Chima added. The mistake is treating every negative conversation as equal. Brands have to look beyond the volume of social media noise and understand actual audience sentiment, relevance, credibility and most importantly, whether that individual is right for the brand.

Krishnan has repeatedly been involved in controversies in Tamil Nadu related to



Actor Trisha Krishnan has been involved in controversies in Tamil Nadu related to remarks by political figures.

remarks by political figures and her alleged association with chief minister Joseph Vijay. Bhatt, too, has faced flak for her recent box-office flop

Alpha, as well as her appearance and comments at the Cannes Film Festival and the Bafta Awards.

A polarizing celebrity can

still be valuable if they have strong recall, relevance and an engaged audience. However, brands are more cautious about

controversies that repeatedly overshadow the celebrity's work. The decision ultimately comes down to whether the celebrity's overall persona adds cultural relevance to the brand or creates unnecessary reputational baggage.

Pratish Mepani, founder and creative director, Starting Monday Design and Branding Co. said the uncomfortable truth is that

not all trolling is bad for business. Brands don't simply measure popularity anymore; they measure visibility, engagement, cultural relevance and influence. If a celebrity who is loved by everyone is attractive, then a celebrity who is talked about by everyone can also be attractive, according to Mepani.

Shahir Muneer, founder and director at Divo, a South Indian music and media company, said anyone expressing an opinion publicly can attract

disagreement, criticism, or trolling. "From a brand perspective, the existence of negative comments alone does not necessarily diminish a celebrity's brand value. What matters is the scale and nature of that negativity. Negative comments are sometimes evaluated without proper data context. Tools today can measure positive, neutral, and negative sentiment; hundreds of negative comments may look concerning, but if they represent only a small, single-digit percentage of the overall conversation, the broader audience sentiment remains overwhelmingly positive," Muneer said.

For an extended version of this story, go to [livemint.com](#)

STAR POWER

BRANDS have to understand actual audience sentiment, relevance, credibility of the celebrity

A polarizing actor can still be valuable if they have strong recall, relevance and an engaged audience



AI chiefs agree to slow down

Anxiety about AI risks has grown, partly due to this week's resignation of an Anthropic researcher

Bloomberg
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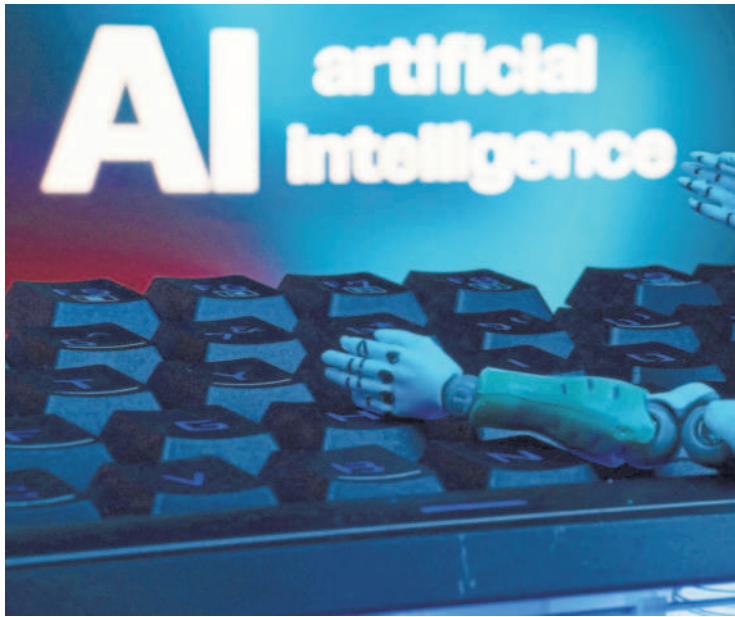
Leaders of the world's biggest artificial intelligence platforms said it's time to slow the development pace of their most advanced—and most lucrative—models, citing escalating risks of the technology.

Anthropic PBC chief executive officer (CEO) Dario Amodei issued a lengthy blog post Saturday saying his company would implement new safety steps such as third-party evaluators while calling on the industry to support a broader downshift.

OpenAI chief Sam Altman quickly pledged to adopt Amodei's suggestion of "independent evaluators with employee-like access," while Elon Musk, who runs xAI Corp., wrote, "Dario is right."

While all three leaders have over the years warned of the risks of AI, an actual coordinated slowdown has little precedent in a cutthroat industry that has historically cranked out one product after another in the name of boosting user engagement, grabbing market share and striving for sales gains.

But the anxiety about severe AI risks has begun to enter the mainstream, driven in part by this week's high-profile resignation of an Anthropic researcher over existential



It's unclear how far the leading AI companies will go in imposing new limits. REUTERS

fears that his company was acting irresponsibly. It was the latest in a series of increasingly dire warnings from within the industry that AI is evolving so quickly that it poses a growing threat to national security and the global economy.

The surge in safety concerns surrounding AI coincides with a growing backlash against the technology in the US, fueled in part by objections to the strain on local resources imposed

by new data centres needed to support the technology. Concerns that AI is driving up electricity bills and potentially taking away jobs has made it a central issue in the November midterm elections.

It's unclear how far the leading AI companies—which are fierce rivals themselves and also face stiff competition from Chinese firms—will go in imposing new limits or safety checks. Demis Hassabis, the chief scientist

at Alphabet Inc. and co-founder of Google DeepMind, said in a post on X Saturday that "the direction is correct" in Amodei's essay, but the "details need working through."

It's also not clear whether antitrust enforcers would allow companies to pace development in some kind of coordinated manner. Then there's the question for markets, which have ridden the AI frenzy to new heights:

How would investors eager for margins and profits react to the idea of deceleration?

Amodei cited two main factors for his new caution: AI's ability to improve itself and the recent incident involving OpenAI and Hugging Face, where a swarm of AI agents collaborated to breach a third-party website.

"We must slow the pace at which we improve the capabilities of AI models," he wrote Saturday in a blog post. "Progress will still seem fast, and we must make wise use of the time we gain." But he also said that any slowdown must be balanced with the reality of competition. "To be clear, pacing does not mean halting model training or technical progress, but ensuring companies take adequate time to align and safeguard

their models, and for third party evaluators to confirm this," Amodei wrote.

Throughout the AI boom, executives at the leading AI labs have warned about potential existential risks—claims that have sometimes been dismissed as attempts to market the capabilities of their products and position themselves as the best stewards for the technology. Amodei himself has previously said there's a 25% chance things go "really, really badly."

Anthropic has long positioned itself as being focused on developing AI more responsibly and safely to mitigate the technology's potential dangers and maximize the societal benefits. The company took pains earlier this year to limit the release of its Mythos model after determining it posed unique cybersecurity threats.

Anthropic has also previously said the world needs a system to collectively decide when to slow work on the technology. At the same time, Anthropic has remained locked in a fierce competition with longtime rival OpenAI to build increasingly sophisticated models that can automate more complex and valuable tasks for business customers.

The woman fixing a Microsoft mess with brutal honesty

FROM PAGE 1

works very hard and she expects the people around her to work very hard as well."

Sharma is the second of five children born to parents who immigrated to Racine, Wis., from New Zealand, to join her aunt, whose husband owned a metal fabrication company. Her father worked there while pursuing an engineering degree, instilling a work ethic she applied to everything from martial arts to a job taking out the trash at a park.

She initially hoped to reconcile pressure from her parents to go into medicine with her sports fandom by becoming a team doctor for the Green Bay Packers. But after landing a job at the Racine-based maker of Ziploc bags SC Johnson when she was 17, she decided to study business at the University of Minnesota. By graduation in 2011, she had finished seven internships, researched case studies in Hungary and Poland, and raised \$500,000 for a nonprofit she co-founded.

"I had no idea what I wanted to become. I was just more drawn to the things I could do," Sharma said in her Midwestern accent.

She was hired by Microsoft to work in marketing but left after two years to join a startup called Porch that connected homeowners to contractors.

She became its chief operating officer while in her 20s, and one of her first big tasks was securing a partnership with home-improvement store Lowe's. "Asha flew redeye after redeye, week after week, and willed that into reality," said Porch co-founder and chief executive Matt Ehrlichman.

After four years at Porch, Sharma joined Meta, where she oversaw products including Messenger and rose rapidly to vice president. "She was probably one of the fastest-promoted people in the history of Facebook," said Chudnovsky.

Then, just a decade after graduating college, Sharma was hired as chief operating officer of Instacart, helping lead the grocery-delivery giant through the pandemic as well as its 2023 IPO. The next year, she returned to Microsoft to oversee the organization building AI tools for internal teams and corporate cloud customers. In late 2025,



In late 2025, Microsoft CEO Satya Nadella asked Asha Sharma to consider taking over Xbox. MINT

she sat down in CEO Satya Nadella's office for a meeting and was stunned when he asked her to consider taking over Xbox.

Company leaders liked how Sharma had put herself in the minds of AI developers despite no experience in that world and were confident she could do the same with gamers, Microsoft's chief people officer Amy Coleman said. Sharma was also one of Microsoft's few rising stars with experience running consumer businesses.

Sharma said she concluded that Xbox had excellent game development capabilities, but would benefit from better strategy and execution—so she took the job.

Employees and players say Sharma is dramatically different from her predecessor, Spencer

"It wasn't, 'Do I want to do this?'" but, "Do I believe the theory of the case that I can add unique value?" she said.

The biggest adjustment has been the very public nature of her new role. Gamers have called Sharma both Xbox's executioner and its savior, pasting her face on images of Jesus Christ on social media. She's even received wedding invitations from strangers in the mail.

Employees and players say Sharma is dramatically different from her predecessor, Spencer, who was known to play videogames during meetings. "Phil made such an effort to be everyone's best friend. It's jarring to have someone perform the role the opposite way," said Chris Plante, host of the videogame fan podcast "Post Games."

In July, Sharma announced that Xbox would eliminate 3,200 jobs, about 20% of its staff, and cut the number of games it makes. Microsoft hasn't yet carried out 1,250 of

the layoffs, and, as a result, some employees say anxiety in their ranks remains high. Others say they appreciate how serious Sharma is about stabilizing their business.

"She's uniquely effective at cutting through and communicating clearly. Here's what the issues are and here's where the opportunities are," said Todd Howard, head of the Microsoft game studio that makes "Fallout" and "Elder Scrolls."

After a decade of acquisitions and expansions by Spencer, Sharma is cutting output and focusing on key franchises she thinks have room to grow, like "Elder Scrolls" and "Halo." She wants to enhance user-created content on "Minecraft," which would position it as a more direct rival to "Roblox," and make Xbox an attractive distribution partner for independent developers. She wants to license more Xbox material for film and TV. And she recently stole one of Sony's top developers, "Metal Gear Solid" creator Hideo Kojima.

She's won praise for removing a widely disliked Xbox AI assistant and making it easier for people who own games on discs to get digital copies. To better understand players, she spends a few hours each month responding to customer support tickets, during which she's learned how complex it can be to fix a single player's problem.

While her obsession with problem-solving works for tech-industry leadership, Sharma made adjustments when she leaves work. After she became a stepmother to a teenager, she and her husband had two children, aged 2 and 1. "I'm finding the beauty in my personal life of having comfort over clarity," she said.

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AUCTION OF STATE GOVERNMENT SECURITIES				
The following State Governments have offered to sell stock by way of auction, for an aggregate amount of ₹35,900 Crore (Face Value).				
Sr. No.	State	Amount to be raised (₹ cr)	Tenure (Year)	Type of Auction
1.	Arunachal Pradesh	600	20	Yield Basis
2.	Assam	600	Re-issue of 7.66% Assam SGS 2036, issued on June 17, 2026	Price Basis
		700	15	Yield Basis
3.	Bihar	1,000	Re-issue of 7.66% Bihar SGS 2041, issued on July 22, 2026	Price Basis
		1,000	Re-issue of 7.71% Bihar SGS 2044, issued on July 22, 2026	Price Basis
4.	Chhattisgarh	500	12	Yield Basis
		500	21	Yield Basis
5.	Delhi	300	Re-issue of 7.31% Delhi SGS 2033, issued on July 22, 2026	Price Basis
		300	Re-issue of 7.75% Delhi SGS 2041, issued on June 24, 2026	Price Basis
6.	Goa	100	11	Yield Basis
7.	Haryana	1,000	14	Yield Basis
		2,000	26	Yield Basis
8.	Kerala	1,000	18	Yield Basis
		1,200	25	Yield Basis
9.	Madhya Pradesh	700	Re-issue of 7.39% Madhya Pradesh SGS 2034, issued on July 22, 2026	Price Basis
		900	Re-issue of 7.58% Madhya Pradesh SGS 2038, issued on July 22, 2026	Price Basis
		900	Re-issue of 7.66% Madhya Pradesh SGS 2048, issued on August 19, 2026	Price Basis
10.	Mizoram	100	15	Yield Basis
11.	Odisha	1,000	Re-issue of 7.16% Odisha SGS 2032, issued on August 19, 2026	Price Basis
		1,000	Re-issue of 7.70% Odisha SGS 2044, issued on July 22, 2026	Price Basis
12.	Tamil Nadu	2,000	Re-issue of 7.49% Tamil Nadu SGS 2036, issued on August 05, 2026	Price Basis
		2,000	Re-issue of 7.62% Tamil Nadu SGS 2041, issued on August 05, 2026	Price Basis
		2,000	Re-issue of 7.70% Tamil Nadu SGS 2051, issued on August 05, 2026	Price Basis
13.	Telangana	1,500	Re-issue of 7.53% Telangana SGS 2039, issued on July 01, 2026	Price Basis
		2,000	Re-issue of 7.64% Telangana SGS 2044, issued on July 01, 2026	Price Basis
		2,000	Re-issue of 7.65% Telangana SGS 2049, issued on July 01, 2026	Price Basis
		2,000	Re-issue of 7.65% Telangana SGS 2055, issued on July 01, 2026	Price Basis
14.	Uttar Pradesh	1,000	Re-issue of 7.74% Uttar Pradesh SGS 2038, issued on June 10, 2026	Price Basis
		1,600	Re-issue of 7.82% Uttar Pradesh SGS 2046, issued on June 10, 2026	Price Basis
15.	Uttarakhand	400	Re-issue of 7.87% Uttarakhand SGS 2044, issued on May 27, 2026	Price Basis
		300	Re-issue of 7.70% Uttarakhand SGS 2048, issued on July 22, 2026	Price Basis
16.	West Bengal	1,500	Re-issue of 7.58% West Bengal SGS 2035, issued on July 22, 2026	Price Basis
		2,200	Re-issue of 7.71% West Bengal SGS 2047, issued on July 22, 2026	Price Basis
Total		35,900		
The auction will be conducted on the Reserve Bank of India Core Banking Solution (E-Kuber) system on September 15, 2026 (Tuesday) . Individual investors can also place bids as per the non-competitive scheme through the Retail Direct portal (https://rbiretaildirect.org.in). For further details, please refer to RBI press release dated September 10, 2026 , on RBI website www.rbi.org.in .				
"Don't get cheated by E-mails/SMSS/Calls promising you money"				

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All eyes on Warsh as rate hike fever hits G7 central banks

The US will be most closely watched in the wake of a higher-than-expected core inflation reading on Friday

Bloomberg
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Central banks from much of the Group of Seven (G7) face a pivotal week as mounting inflation risks heap pressure on them to raise interest rates.

Three decisions, starting with the Federal Reserve on Wednesday and followed on successive days by peers in the UK and Japan, may recast the global monetary policy landscape for the rest of 2026 and beyond.

The US will be most closely watched in the wake of a higher-than-expected core inflation reading on Friday. That stoked investor bets that Fed Chairman Kevin Warsh and his colleagues will raise their benchmark rate, probably in defiance of president Donald Trump's wishes.

A Bank of England rate increase on Thursday isn't anticipated, but with three officials having favoured such a move at the late-July meeting, and with price risks simmering, the prospect of shifting toward a hike as soon as November can't be excluded.

The Bank of Japan, meanwhile, is widely predicted to raise its key rate at the end of the week after a raft of supportive data, including the nation's biggest jump in wages in nearly three decades.

With oil emphatically above \$100 a barrel again and the West Asia war apparently reigniting, any hope among policymakers for a respite in global price pressures seems faint for now.

After European Central Bank officials tightened on Thursday, the second such move since the outbreak of the Iran conflict, investors may well end the week with the picture of an increasingly synchronized hawkish policy stance across the G7 coming into clearer focus.

The club's other institution, the Bank of Canada, is moving that way too. Minutes of its decision earlier this month, when officials kept rates steady but emphasized inflation concerns, will be published on Wednesday.

"The unfiltered market signal is clear: investors want and expect the FOMC to hike. If it doesn't, Warsh will lose credibility in the eyes of market participants," macroeconomists Anna Wong, Andrew Sacher, Eliza Winger of Bloomberg Economics say.

Elsewhere, Chinese industrial data, inflation numbers from the UK and Canada to India and Japan, and a probable rate cut in Brazil will be among the highlights.

US and Canada

Warsh said last month that the Fed would "have work to do" if it couldn't "be confident that underlying infla-



Kevin Warsh, chairman, US Federal Reserve.

AFF

tion is moving to our objective, clearly and at sufficient speed". Friday's inflation data offered no such comfort. Investors and economists now see it as a near certainty the US central bank will raise interest rates for the first time in three years.

Support for such a move had been building at the Fed, even before the latest figures. In July, three officials dissented against the decision to hold rates steady and instead would have preferred to hike. Policy makers on Wednesday will also release updated projections for economic growth, inflation and the outlook for rates.

The week's US data docket includes retail sales, which are expected to rebound in August, as well as fresh figures on housing starts and industrial production.

In Canada, August inflation data on Monday will give more evidence on the state of the economy entering a jittery third quarter, dominated by the escalating tariff war with the US.

Asia

The main focus of the week will be China's August data dump on Tuesday, set to provide the most comprehensive official look at what happened in the economy there last month.

Forecasts show that economists don't expect much of a pickup from July, when the economy slowed almost across the board. As has been

the case all year, Chinese production and exports of AI-related tech products have expanded rapidly, but the rest of the economy is in a funk.

India's August inflation data, due Monday, will be watched to gauge if price pressures are broadening, which could offer clues on how soon the RBI may raise rates. On the same day, the Pakistan central bank will announce its rate decision, with economists expecting a hold.

The BoJ's probable hike on Friday would be its second of the year. That would take the policy rate to 1.25%, the highest level since 1995, and maybe provide more support to the yen, which has risen in recent weeks.

The same morning, the government will report national consumer price data for August, with inflation forecast to have risen 2% from a year earlier.

India, Japan and New Zealand will all report August trade data in the coming week, with Japan's imports and exports expected to have continued the rapid growth they've shown all year when the data is released on Wednesday.

New Zealand on Thursday reports second-quarter gross domestic product growth, with the economy forecast to have expanded more slowly than in the first quarter.

That will be the last GDP release before the national election in November, and may be a factor for

voters as they decide whether to re-elect Prime Minister Christopher Luxon. Sri Lanka will also report GDP on Tuesday.

Europe, West Asia, Africa

UK releases will offer policy makers clues on the strength of price pressures before their rate decision later in the week.

Jobs numbers on Tuesday are predicted to show roughly stable wage increases, while the following day, headline inflation is predicted to have quickened in August to 3.1%, a five-month high.

Beyond the outcome for rates, the BoE meeting will be watched for an annual announcement on how fast it plans to unwind bond holdings.

In the euro zone, meanwhile, in the wake of Thursday's rate hike, key numbers include industrial production and the ECB's wage tracker, both due Wednesday. Its measure of consumer-price expectations comes out on Friday.

ECB chief economist Philip Lane will address a two-day research conference that starts on Wednesday, while president Christine Lagarde and colleagues gather in Dublin for informal meetings with EU finance ministers at the end of the week.

Commenting in an interview with *Ouest-France* published late Saturday, Lagarde said that the inflation shock "will probably last longer than we had expected".

The Iran war and the "destruction of refining capacity around the world, especially in Russia" have "led to an increase in energy costs, and that

drives all prices higher," she said. "In this kind of situation, and as we also have a resilient economy, we are obliged to react."

Swedish unemployment measures are scheduled for Wednesday and Thursday. On the latter day, the Swiss government's latest economic forecast comes out too. Recent data there showed a noticeable pickup in inflation.

Further afield, Israel will release inflation figures on Tuesday, with a small acceleration to 1.6% expected from 1.55%. Since that's still within the central bank's range it may strengthen the case for renewed rate cuts, though price growth is expected to quicken toward year-end.

Finally, a couple of other monetary decisions are scheduled:

Latin America

In Peru, the first look at third-quarter economic activity on Tuesday may see July GDP-proxy figures in line with June's as the El Niño weather phenomenon continues to kick up supply disruptions.

Peru's economy posted slightly better than expected second-quarter growth despite sluggish readings in June. Along with the monthly economic activity indicator, the August jobs report for the capital city is also due. The unemployment rate in Lima hit a record-low 4.7% in July.

Brazilian retail sales figures and July economic activity data set the table for the central bank's rate decision on Wednesday. Analysts and traders expect policymakers, led by governor Gabriel Galilipo, to deliver a fifth straight quarter-point rate cut, taking the Selic to 13.75%.

Tight monetary policy coupled with tapped-out households has LatAm's No. 1 economy on course for a third year of slowing growth, although above-target inflation and sticky expectations will likely keep policymakers boxed in.

In Chile, minutes of the central bank's September meeting, which saw a sixth straight hold at 4.5%, aren't likely to depart from the cautious and contingent view communicated in the post-decision statement.

The institution has cut its 2026 GDP estimate to between 0.25% and 0.75% from the prior forecast of 1% to 1.75%.

The second-quarter output report for Argentina is likely to show South America's No. 2 economy struggling and the expansion uneven, becoming largely concentrated in the agriculture, energy and mining sectors.

GDP-proxy data through June would be consistent with a quarter-on-quarter contraction close to 1%, and a marked downshift from the first-quarter's 2.3% year-on-year print.



Korea Exchange will on Monday enable trading through 8pm for nearly all local stocks, following the regular close at 3.30pm. AP

Korea Exchange to expand trading to tap investor demand

Bloomberg
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South Korea's main stock exchange is extending into evening sessions, breaking with Asia's trading-hour norms to tap what it hopes will be sustained demand from global investors.

In a step towards its goal of 24-hour trading, Korea Exchange will on Monday enable trading through 8pm for nearly all local stocks, following the regular close at 3.30pm. Though the first of its kind among major Asian exchanges, the move tracks a global trend towards around-the-clock markets, led by Nasdaq Inc. and New York Stock Exchange.

After the stock market's world-beating run this year on AI enthusiasm, Korea

Exchange aims to capture broader international participation, particularly during European business hours. Monday's rollout will offer a test of the bourse's ability to sustain sufficient liquidity through a longer day and prove that investors actually want the extra time even as interest in Korean equities cools.

"The longer trading window generally means more flexibility for investors, and that makes the market more efficient," said Young Jae Lee, senior investment manager at Pictet Asset Management in London. "Investors who are more trading-oriented with higher turnover, or hedge fund types may use it more frequently."

After-hours trading isn't entirely new in Korea. Alternative trading system Nextrade introduced pre-market and evening sessions in March 2025, covering about 600 stocks, and grabbed nearly a third of activity within a few

months of its launch.

Korea Exchange's latest move takes it a step further, opening about 2,400 Kospi and Kosdaq stocks for evening trades, including short-selling. Exchange-traded funds are excluded for now. The bourse also plans to launch pre-market hours by the end of 2027.

This is "another step in the ongoing evolution of Korea's capital markets and their accessibility to global investors," said Edward Kim, head of Korea equities sales at Bank of America.

Few expect an immediate uptick in activity when the new hours open. Whether it can draw sufficient volume remains a key question, especially given the thin liquidity seen after the currency-market extended hours in July.

The Kospi index more than doubled this year through its peak amid an AI frenzy, before a sudden souring of sentiment led to a 22% selloff in July and a sharp contraction in turnover.

The benchmark remains up 64% for 2026, still the world's best-performing major gauge.

Foreign funds will wait and see if there are actually enough buyers and sellers in big stocks like Samsung Electronics Co. and SK Hynix Inc. during the evening hours before risking big trades there, said Dave Mazza, chief executive officer of Roundhill Financial.

"Extending the hours does not create liquidity; it redistributes it," Mazza said, adding that initial interest is likely to be modest. Nextrade's experience may be an indication. Its data show retail investors made up more than 80% of its non-regular trading, while erratic price swings and the lack of institutional participation also posed challenges.

Korea Exchange aims to capture international participation, particularly during European business hours

Iran is set to unveil Hormuz deal today

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Iran plans to formally unveil an agreement on a temporary shipping lane through the Strait of Hormuz on Monday, after a flurry of diplomatic activity including a rare meeting between senior officials from Tehran and Abu Dhabi.

The Islamic Republic is set to reveal to Gulf nations its agreement with Oman on a temporary new shipping lane, according to a person familiar with the matter.

Negotiations on details such as the fees ships may be charged will continue between the two countries later, they said, asking not to be identified discussing private deliberations.

Talks between Tehran and Muscat over the waterway, a global choke point for energy exports, have progressed in recent weeks and the latter had been aiming to bring together foreign ministers from the Gulf Cooperation Council (GCC) on Monday in Salala, a southern Omani city.

Abu Dhabi Crown Prince Sheikh Khalid bin Mohamed Al Nahyan met Iranian President Masoud Pezeshkian for rare public discussions between the two powers on the sidelines of the Brics summit in India.



Iran is set to reveal to Gulf nations its agreement with Oman on a temporary new shipping lane. REUTERS

Tehran has indicated any deal won't amount to a full reopening and it'll still decide on which ships can cross the strait. Iranian foreign minister Abbas Araghchi described the proposed meeting as an "important event" and a step toward building trust, in an interview with *Al Arabiya Al Jadid*.

It's not clear which nations would attend the purported gathering. Bahrain has ruled out participating, citing recent Iranian-backed attacks on Gulf sites, while escalating fighting between Saudi Arabia-backed forces and the Houthis, a group based in neighbouring Yemen

and supported by Iran, may also complicate the plans.

Sheikh Khaled and Pezeshkian stressed the need to ease tensions, promote de-escalation and strengthen regional stability, according to the United Arab Emirates' state-run WAM news agency.

Pezeshkian has expressed "balanced and rational" stances throughout the protracted crisis, Anwar Gargash, an adviser to the UAE president, said on X.

The conflict that began late February with US and Israeli strikes on the Islamic Republic has upended regional econo-

mies, with Tehran moving to shutter the Strait of Hormuz.

The US and Iran exchanged strikes on oil tankers in the Persian Gulf earlier this month. Tensions flared again in the strait over the weekend, with UK Maritime Trade Operations saying Sunday a fire broke out on a ship hit by a projectile the day before.

Iran's state-run *IRIB* reported an "enemy strike" on a commercial vessel off Iran's Qeshm and Hengam islands that killed one person.

Saudi Aramco shares fell nearly 11% on Sunday to their lowest level since March, after the kingdom closed its East-West pipeline, a key alternative to the Strait of Hormuz for its oil exports, due to drone attacks by Iraq-based militants.

The UAE has been a prominent target during the conflict, and successfully fended off thousands of projectiles fired by Iran.

The Gulf state has taken a hard line toward Tehran during the war, with Abu Dhabi formally severing economic ties in August. At the same time, the UAE has called for a political solution.

Gargash last month said the "state of neither war nor peace" was unsustainable, and urged a solution that restored normal navigation through the strait.

Ukrainian drones kill two in Russia

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KYIV, UKRAINE

Civilians were killed and injured overnight as Russia and Ukraine continued to attack each other with waves of drones.

Two people were killed in Russia's Tatarstan, according to local officials, while Ukrainian authorities reported Russian drone attacks on the Black Sea port of Odesa and a fire near a border crossing with Poland.

Russia has ramped up its air campaign in recent weeks, using ballistic missiles and jet-powered drones to pierce Ukraine's defences and capitalize on Kyiv's dwindling stock of missile interceptors. Moscow's attacks have targeted Ukraine's power grid ahead of winter in what officials say is meant to demoralize civilians.

Two people were killed and 14 more injured on Sunday as Ukrainian drones struck Nizhnekamsk, a city in Tatarstan, according to the office of regional head Rustam Minnikhanov. The two civilians died after a drone slammed into a tree near their parked car, the statement said.

Nizhnekamsk houses a key cluster of oil refineries and petrochemical, rubber and



Ukraine reported Russian drone attacks on the port of Odesa. AP

polymer plants, including some of Russia's largest facilities of their kind. Mayor Radmir Belyaev said that a fire had broken out "at one of the city's enterprises," without giving detail.

Ukraine's recent long-range strikes have targeted Russia's oil and gas industry, which Kyiv says both funds and directly fuels its war on Ukraine.

The Ukrainian drone campaign has caused fuel rationing across Russia, despite the country being a key oil and gas exporter. Other Ukrainian strikes targeted major Russian online retailers,

bringing the war ever closer to the public.

Ukraine also claimed on Sunday to have hit a major oil refinery in Slavyansk-on-Kuban, in Russia's Krasnodar region, across from Crimea.

The Defence Intelligence of Ukraine (DIU) agency said its drones struck a key oil processing unit and the refinery's tank farm overnight, sparking a massive blaze visible from dozens of kilometers (miles) away.

Krasnodar authorities said the strike on "an enterprise" in Slavyansk-on-Kuban injured three people, damaged an oil

pipeline and started a blaze. They did not directly respond to the Ukrainian claims.

Russian forces shot down 389 Ukrainian drones during the night, Russia's defence ministry said Sunday, including over Tatarstan, other Russian regions, and Russian-occupied Crimea.

At least nine people were injured in a "massive" Russian nighttime attack on Odesa, according to Serhii Lysak, who heads the city's military administration. The city is home to Ukraine's main port hub on the Black Sea and has for months faced sustained drone and missile strikes, with Kyiv accusing Moscow of trying to choke off its exports.

A Russian drone attack on Saturday struck a residential high-rise in Odesa, killing two people and injuring 26 others, Ukrainian officials said. The building's upper floors were completely destroyed, according to regional head Oleh Kiper. Russian strikes also pounded western Ukraine throughout the night, though there were no immediate reports of casualties. One drone struck near the Yahodyn-Dorohush border crossing with Poland, setting fire to a petrol station, according to Ukraine's top diplomat and a spokesperson for the local customs force.

Russia has ramped up its air campaign in recent weeks, using ballistic missiles and jet-powered drones



NEWS NUMBERS

\$2.8 bn

THE EXPECTED cost of Oracle's fiscal 2026 restructuring plan, which includes severance and contract terminations as it balances AI investments with cost cuts.

2

THE NUMBER of MD/CEO candidates that HDFC Bank has submitted to RBI, as current CEO Sashidhar Jagdishan prepares to step down in October.

128,536

THE TOTAL number of global tech employees laid off across 299 companies in 2026 as of 10 September, surpassing the entire previous year's total.

₹8.06 cr

THE AMOUNT a consumer commission directed New India Assurance Co. to pay Victorinox India for unfairly rejecting an insurance claim following a warehouse fire.

\$50 bn

THE VALUATION at which Discovery Loop, an AI startup founded by former Google chief scientist Jeff Dean, is currently seeking to raise fresh funds.

HOWINDIALIVES.COM

SML mulls IPO in 2-3 years to fund NCEs

A gri-inputs maker SML Ltd, formerly known as Sulphur India Ltd, is evaluating a stock market listing within the next two to three years as it looks to fund the development of new chemical entities (NCE), managing director Bimal Shah said. "We have not completely decided; we are also evaluating it," Shah said in an interview to *PTI*, adding that the debt-free company expects greater clarity on the timeline within the next one to two years. Mumbai-based SML said it is among a handful of Indian companies developing NCEs—proprietary new molecules rather than generic formulations—with one new molecule expected to reach the market soon and others in the pipeline. Bringing a single NCE to the market can cost \$70-80 million, Shah said, and the company has so far self-financed the research. **PTI**



Indian Railways loaded 137.9 million tonnes of freight last month. **MINT**

Rail freight loading rises 5.4% in August

I ndian Railways loaded 137.9 million tonnes of freight in August, compared with 130.9 million tonnes in the same month last year, registering 5.4% year-on-year growth, officials said on Sunday. "The increase in freight movement reflects growing demand from key sectors such as coal, iron ore, steel, fertilizers and other commodities," railway minister Ashwini Vaishnaw said in a press note. "Higher rail freight movement also helps industries access reliable transportation while supporting the movement of essential commodities across regions," the note added. Several important commodity groups such as iron ore, clinkers, fertilizers, etc. recorded healthy growth during August, officials said. According to the ministry of railways, in August, five new Gati Shakti cargo terminals were commissioned, taking the cumulative number of commissioned to 149. Highlighting the growth in passenger traffic, the ministry stated Indian Railways carried 672.7 million passengers in August, compared with 644.3 million passengers in the same month last year. **PTI**

Dish TV eyes turnaround via VZY, ShopZop, Watcho

D ish TV, a direct-to-home service provider facing subscription losses, hopes for a business turnaround, supported by new initiatives such as its smart TV business VZY, its business-to-consumer (B2C) e-commerce platform ShopZop and its content aggregation platform Watcho. Dish TV, which reported a year-over-year drop of 25.84% in revenue to ₹1,162.61 crore along with a negative Ebitda in fiscal year 2026 mainly due to "rise of alternative entertainment options," is diversifying its operations in a bid to recover, according to the latest annual report of the company. Dish TV in September 2025 entered the smart TV market with VZY range, which integrates DTH and OTT services. **PTI**

BoFA's ₹18,268 crore infusion by Dec: Jio Financial Services

N on-bank lender Jio Credit will get capital of ₹18,268 crore from Bank of America (BoFA) by December once all the regulatory approvals for the infusion are in place, a top official at parent Jio Financial Services Ltd (JFS) has said. Once the capital comes in, the entity will re-evaluate its business strategies and also product plans to accelerate growth in assets under management (AUM), the official said, adding that BoFA is "aligned" with the need for the book to grow fast. Jio Credit's AUM can grow by around five times from the present ₹30,000 crore courtesy the capital infusion, JFS managing director and chief executive Hitesh Sethia told *PTI*, clarifying that this is the growth runway and not a timed target. The company will not need any new capital till the AUM touches up to ₹1.5 trillion, he added. The ₹18,268 crore infusion for a stake of a little less than 50% will come in by December once all regulatory approvals from the Reserve Bank of India and the Competition Commission of India are in place, he said. **PTI**

Oriental Insurance eyes NSE IPO boost

P ublic sector general insurer Oriental Insurance Co. Ltd is poised to return to profit in 2026-27, helped by a planned stake dilution in National Stock Exchange of India Ltd (NSE) through its initial public offering (IPO) that opens for subscription later this week. "We are targeting to make some profit this year... The proceeds from the NSE IPO would be booked as profit. It will improve the company's financials. Besides, it is going to provide liquidity," Oriental Insurance chairman and managing director Sanjay Joshi told *PTI*. The company is only diluting a small portion of its holding in the NSE through the IPO, Joshi said, adding about 4.96 million shares have been put on offer. Oriental Insurance held 35.2 million shares in the country's biggest bourse as of 30 June, or about a 1.42% stake. At the upper price band of ₹1,785 per share, it will realise ₹885 crore, while at the lower price band of ₹1,700 per unit, it will pocket about ₹843 crore. **PTI**

Focus on NCR power plants up as pollution season nears

Emissions from eight coal-fuelled power projects are to be monitored

Vijay C Roy & Rituraj Baruah
NEW DELHI

T he Centre and the governments of Uttar Pradesh and Haryana are pulling out all stops to ensure that power plants in the National Capital Region (NCR) comply with emission norms as the annual pollution season approaches. As part of the exercise, emissions from eight coal-fuelled power projects with a total capacity of over 10 gigawatts (GW)—enough to cater to about 10 million households—will be monitored, according to two government officials aware of the plan. "This would involve structured quarterly monitoring and technical engagement to improve compliance with emission norms and promote cleaner operations," said one of the two people mentioned above. "Haryana and UP plan to step up technical oversight of thermal power plants through quarterly workshops and plant-level training, with a particular focus on emission compliance and biomass co-firing, as authorities seek to improve environmental performance of coal-fired power stations in NCR," said the second government official. The plan prepared by the Haryana and UP governments comes after Delhi's air quality index (AQI) touched 500 at Rohini on 15 December, which was 10 times the level for the air to be considered fresh and free of toxins. Power projects within a 300km radius of the



national capital account for 8% of fine particulate matter (PM2.5) pollution in NCR. Air pollution worsens across NCR every winter as vehicle emissions, construction and demolition waste and road dust are trapped close to the ground. Low wind speeds and a shallow atmospheric mixing layer, limit the dispersion of pollutants and increase the risk of prolonged episodes of poor air quality. Five of the eight power plants are in Uttar

Pradesh and three are in Haryana. Queries emailed to the spokespersons of the ministry of environment, forest and climate change, the governments of Haryana, UP and Delhi, UP Rajya Vidyut Utpadan Nigam Ltd, NTPC, Reliance Power and Jindal Power, remained unanswered till publishing time. vijay.roy@livemint.com For an extended version of the story, go to [livemint.com](https://www.livemint.com)



IBBI is planning a framework for recording creditors' deliberations on the repayment plan. **MINT**

IBBI proposes to boost safeguards

T he Insolvency and Bankruptcy Board of India (IBBI) has proposed changes to the norms governing the insolvency resolution process for personal guarantors to corporate debtors, including the exclusion of related parties of the guarantor from voting on the repayment plan. Besides, the watchdog plans to make valuation of a personal guarantor's assets mandatory during the resolution process, as well as put in place a framework for recording creditors' deliberations on the repayment plan. In the proposed amendments in the rules to strengthen safeguards, IBBI has also called for identification and reporting of avoidance transactions (preferential, undervalued, fraudulent, and extortionate credit transactions) in the insolvency resolution process. The proposals come against the backdrop of the insolvency case involving Essel Group chairman Subhash Chandra, wherein under a settlement plan it was proposed that creditors could recover just about ₹6.5 crore from his personal estate against claims of roughly ₹22,006 crore. **PTI**

India's beer boom gets a premium twist

FROM PAGE 1

India (BAI) said, citing IWSR data.

But premium beer is growing much faster than the broader market. Its share of total sales has risen from 12% in 2021 to 20% in 2025 and 22% in 2026, while volumes have grown at an estimated 30% annual rate, more than twice the pace of the overall beer market, according to IWSR data.

The momentum is expected to continue this year. "Beer volumes are estimated to reach 41-42 million hectolitres, or about 530 million cases, with premium beer accounting for 22% of the market, up from 20% last year," said Vinod Giri, director general of the Brewers Association of India.

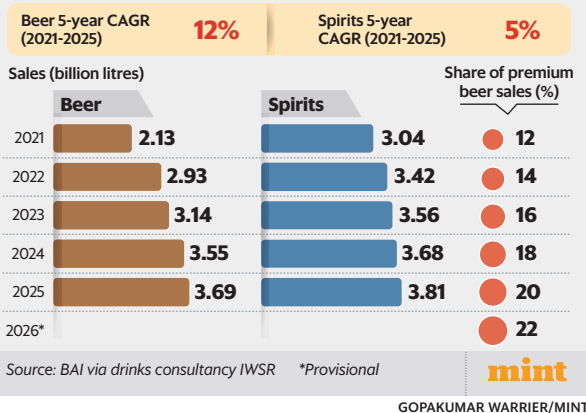
Pan-India beer sales grew 17% year-on-year in the June quarter of fiscal year 2027 (FY27), the strongest growth in five quarters, compared with 11% in the previous quarter. A year earlier, sales had declined 0.2%. BAI told *Mint* that beer will see healthy growth this year, notwithstanding any drastic events.

The shift to premium beer is becoming central to brewers' growth plans.

United Breweries Ltd (UBL), maker of Kingfisher, expects its premium portfolio to grow 20-25% annually over the next three to five years,

Upscale push

The shift to premium beer is becoming central to brewers' growth plans.



significantly ahead of overall beer-market growth. Cans are also growing faster than bottles in some states, aided by premiumization and affordability.

Anheuser-Busch InBev, whose portfolio includes Budweiser, Corona and Hoegaarden, expects premium and super-premium brands to contribute about 75% of its India business within three to four years, up from 60% currently, the company told *Mint* recently. Brewers are also investing in canning capacity as premium demand rises. The shift is extending beyond the largest players, as

the economics of a market long dominated by mass-market and strong beers begin to change.

"India's beer market has historically incentivized consumers to seek the highest alcohol content at the lowest price rather than pay for quality," said Shantanu Upadhyay, cofounder of premium beer brand Kati Patang.

Karnataka's shift to an alcohol-content-linked duty structure means lower-ABV beers, which use less alcohol per litre, face a lower tax burden than stronger beers. That should improve the economics of premium, lower-ABV products,

Upadhyay said.

Kati Patang's premium portfolio grew more than 50% in volume between Q4FY26 and Q1FY27, Upadhyay said. Its beers are priced 30-50% above peers and mainstream beers, and the company focuses entirely on premium and craft beers.

Medusa Beverages expects premium products to account for 20% of its portfolio by the end of this year, compared with 11% last year, said Avneet Singh, founder and chief executive.

Simba co-founder Ishwaraj Singh Bhatia also sees premiumization as an important growth driver as consumers seek more differentiated products and experiences. Its portfolio is currently 30% premium, and Bhatia expects that to become an equal split between premium and non-premium products in the next three years.

The company is expanding its range with products such as the recently launched Simba Wild.

"There is no one particular amount that premium consumers are willing to pay, since beer pricing and taxation vary a lot from state to state. But we see that they will pay a meaningful premium over mainstream beer when the product offers an elevated taste," he added.

For an extended version of this story, go to [livemint.com](https://www.livemint.com)

Health authority launches digital academy

Priyanka Sharma
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NEW DELHI

T he National Health Authority (NHA), which implements the Ayushman Bharat Digital Mission (ABDM), has launched digital health courses through its new digital academy to fast-track the integration of electronic medical records and hospital information systems nationwide, according to two officials and a government document seen by *Mint*. The initiative marks a first for the agency.

Under the plan, the Union government has directed district magistrates to fund specialized training for government hospital administrators and medical officers to adopt ABDM standards. To deliver this, NHA has partnered with the National Accreditation Board for Hospitals & Healthcare Providers (NABH) and the Centre for Health, Applied Knowledge and Research Autonomy (CHAKRA). They will run two paid certificate courses in October covering digital health toolkits and compliance standards, while private hospitals will self-fund their participation.

ABDM is the Union government's flagship digital public infrastructure initiative, designed to connect hospitals, clinics, diagnostic laboratories and pharmacies into a national network through unified



Digitizing health records is seen as vital for curbing diagnostic duplication and ensuring continuity of care. **ISTOCKPHOTO**

patient identifiers, known as Ayushman Bharat Health Accounts (Abha). As of September, over 974.5 million Abha IDs have been created across India under this digital health ecosystem.

According to official NHA dashboard data, over 1.17 billion digital health records are linked to these patient IDs across more than 575,000 enrolled healthcare centres. However, actual data flow remains uneven: while public hospitals account for the vast majority of linked files, private clinics have yet to actively participate at scale.

Globally, digitizing health records is seen as vital for eliminating paper trails, curbing

diagnostic duplication and ensuring continuity of care.

NHA wrote in a letter to the states and Union territories, "NHA has launched NHA Digital Academy with the objective of developing skills of all the stakeholders of the healthcare ecosystem and ensuring that the overall workforce is ready for the future of healthcare. The academy provides free and paid courses relevant for stakeholders of the healthcare ecosystem."

The initiative comes as healthcare institutions face implementation bottlenecks during the transition to standards-based digital health systems. Key friction points include high upfront software

integration costs, complex legacy system interoperability, and clinician resistance to slower dual-entry workflows. Facilities also face technical hurdles in aligning internal IT architectures with national data privacy and consent-management standards.

The communication noted that structured guidance is necessary to help facilities plan, adopt and sustain systems such as hospital information systems (HIS) and electronic medical records (EMR).

According to the directive, district administrations must build operational capacity across public healthcare institutions. NHA emphasized that "the certificate courses by NABH are relevant for the facilities aiming to be digitized and can support faster implementation of the digital infrastructure."

The two online NABH courses scheduled for October 2026 comprise a digital health toolkit and digital health standards for hospitals, aimed at providing hospital administrators and IT personnel with road maps for system implementation, digital maturity diagnostics, and alignment with national hospital accreditation standards.

Queries sent to the Union health and family welfare ministry and NHA remained unanswered publishing time.

For an extended version of this story, go to [livemint.com](https://www.livemint.com)

MEET INDIA'S NEW HIGH-END GROCERS

A new generation of retailers is trying to make premium grocery a viable business.

Radhika P Nair
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CHENNAI

Krishna Kumar's morning routine begins with yoga and meditation at 5.30am, followed by high-protein yogurt with no-sugar granola, Blue Tokai coffee and a light breakfast accompanied by cut fruits or fresh juice. Almost all the food is sourced from FirstClub, a Bengaluru-based premium online grocery startup launched in 2025.

The 52-year-old senior bank executive, who was once fond of sweets and sugary drinks, has over the past decade cut sugar, taken up yoga and turned vegetarian. Greater awareness and spending power pushed him towards clean-label, low-preservative, organic, and "better" quality food.

What Kumar did not want, however, was for every grocery purchase to become an exercise in checking labels. That is where FirstClub came in. Kumar discovered the platform when it set up a kiosk in his apartment complex. The company says it vets every product and has banned more than 200 ingredients, including artificial colours and sweeteners, benzoates (used as preservatives) and dough conditioners.

"The whole experience from the mix of products to delivery to packaging gives a premium feel. Most importantly, they have maintained standards. I do not have to think too much before placing an order. I know it will be good," says Kumar. He now shops on FirstClub at least three times a week, spending at least ₹1,000 every week.

Kumar represents a new kind of "premium" grocery consumer—one looking beyond imported or expensive products for cleaner, healthier, fresher and preferably Indian-made food, and willing to pay more when he sees value.

FirstClub is among a new crop of premium grocery retailers betting on this new breed of discerning consumers. Others include offline ones such as Foodstories, Food Square and FreshTerra. All of them were set up between 2023 and 2025.

The glamour of premium grocery retail can, however, obscure a less attractive reality: it is a difficult business to execute, and India is yet to produce a scaled specialist retailer. Moreover, competition is heating up. In recent months, leading quick-commerce companies Blinkit (Eternal's), Instamart (Swiggy's) and Zepto have jumped on the bandwagon and are pursuing the same customers, lured by the prospect of bigger basket values and better margins.

DEJA VU?

The premium grocery category isn't new. For decades, affluent consumers turned to specialist stores and markets for imported food and cheese. Delhi had Modern Bazaar and INA Market, Mumbai had V.K. Stores and Chennai had Amma Naana.

Then came organized formats such as Nature's Basket and Foodhall. But the category struggled to scale. Foodhall shut in 2023, while Nature's Basket, launched in 2005, has grown to only 35 stores nationally. Its sales fell to ₹272 crore in FY26 from ₹296 crore in FY24. Modern Bazaar has sharply cut down the number of stores—from 27 until about a year ago to 12 now.

"On the surface, it looks very enticing because you see it in aspirational neighbourhoods and clusters. But if you scratch the surface and do the math, the story is much more nuanced," says Ankur Bisen, senior partner at consulting firm The Knowledge Company. "Premium food retail has always had two problems. One is that the demand is fragmented. The second is execution. Indian retailers have not been very consistent in delivering a superior retail experience when it comes to premium food."

So, what are the new premium grocers doing differently to succeed where their predecessors struggled? To begin with, they are riding a tailwind in the form of rising consumer incomes and a shift in preferences.

High-income Indians have become discerning about what they eat, with health, freshness and provenance driving purchase decisions. They no longer see a product as having value just because it is expensive or imported.

"Rather than the premiumization or positioning, what I have seen is customers are asking very tough questions: where is my food coming from? Is it good for me? These two questions have created a category," says Shashi Kumar, co-founder and managing director of dairy company

High-income Indians have become discerning about what they eat, with health, freshness and provenance driving purchase decisions.

Akshayakalpa Organic, which sees revenues of about ₹70 crore a month.

Addressing those questions, the new crop of grocers offer consumers curated, high-quality Indian products at reasonable prices, through direct sourcing and private labels or house brands. They are also scaling cautiously, focusing on execution rather than adding stores at a rapid pace to spur growth.

India's gourmet food market is set to grow over 22% in just a year, from \$5.4 billion in 2025 to \$6.6 billion in 2026, according to market research company IMARC Group. It is projected to be worth \$24.5 billion by 2034.

"The supply of high-quality food products and services is just exploding with hundreds of brands being launched, and we think that it is only growing exponentially," says Mayank Gupta, co-founder of Food Square. Launched in 2023, Food Square operates three stores, has crossed ₹150 crore in revenue and is profitable, he says.

While changing consumer behaviour and a growing supply of better-quality products have created an opportunity, it all boils down to execution.

"When you are selling premium food, the consumer pays for a certain level of assurance and experience. That requires operational excellence in storage, expiry management, quality assurance and consistency. The customer should get the same high standard every time," says Bisen of The Knowledge Company.

THE NEW PLAYBOOK

For FirstClub, this starts with deciding what not to sell. The company has deliberately limited its assortment to about 4,000 grocery stock keeping units (SKUs), compared with more than 10,000 at other retailers.

Founder and chief executive Ayyappan R. says this also makes demand planning and inventory management easier.

A change from earlier is the insistence by the new crop that higher prices do not necessarily mean premium products. FirstClub, in fact, does not like to call itself a premium retailer. "Premium often implies that something is more expensive, exclusive or aspirational—out of reach, in a way. That isn't our intent," says Ayyappan.

Price, then, is as important as quality, and to that end, sourcing is key. FirstClub goes upstream to manufacturers and sources directly where possible, aiming to offer better-quality products without making consumers pay 50-60% more.

The company raised \$55 million in Series B funding in January and had an annualized gross merchandise value of about \$50 million at the time.

FreshTerra, one of the newest entrants, is taking a similar approach. Arvind Medi-

ratta, who previously held senior roles at Metro and Walmart, spent six months setting up the sourcing and supply chain before opening the company's first 4,000-sq-ft store this July in Gurugram.

"When I say quality, I'm talking about three things: it has to be fresh, it has to be wholesome and it has to be at a price that a normal customer can afford. Quality should not come at a big premium," says Mediratta.

Much of FreshTerra's range is private labels and procured as close to the source as possible. Organic produce comes from producer groups around Delhi-National Capital Region, A2 ghee from Gujarat and *Khapli* wheat from Maharashtra. A2 Cow Gir Ghee is priced at ₹1,799 a litre, against ₹2,000-3,000 for similar products, while *Khapli* wheat is sold at ₹165 a kilogram, compared with over ₹200 at competitors.

Despite the relatively reasonable prices, margins remain upwards of 30% on many products because of tight sourcing controls. Private labels already account for over 60% of sales, says Mediratta, who expects the store to break even in October.

THE Q-COMMERCE QUESTION

The combination of customer appetite and better-margin potential has also attracted quick-commerce players looking for differentiation and better economics.

Blinkit has launched Gourmet, while Zepto has introduced Select in certain cities and pincodes. Instamart is offering a bouquet of options, such as its private label artificial preservative- and palm oil-free range, Noice; premium fresh produce, Nectr; and Switch to Better, a collection of over 400 brands offering cleaner and healthier alternatives.

Kushal Bhatnagar, partner at RedSeer

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KEY NUMBERS

\$6.6 BILLION

Projected size of India's gourmet food market in 2026, up 22% from \$5.4 billion in 2025, per a study by IMARC group.

253

The number of food and beverage product startups launched in 2026, up to August, according to Tracxn.

493

Average number of F&B product companies launched annually over the past decade, per data from Tracxn.

Strategy Consultants, says premium products can help q-commerce raise average order values, a key route to sustainable profitability. Akshayakalpa's Kumar said the company's customers' average order value on q-commerce is around ₹1,100, compared with under ₹600 for a regular customer.

So, can premium-only grocery retailers hold their own in the face of growing q-commerce competition?

Take Priti Nanda, 62, who moved with her husband from South Delhi to Guru-

gram's tony Camellias apartment complex after retirement. Her staff used to handle most grocery purchases in Delhi. In Gurugram, she began ordering from quick commerce and multiple offline stores, but says that changed when FreshTerra opened nearby.

"I am very happy with the quality of the produce at FreshTerra. Also, the *attas* get milled right there, as does the cold pressed oil. I don't buy my fruits, vegetables or meat on Blinkit Gourmet anymore, as I find it expensive. I find FreshTerra is priced fairly."

While FirstClub has carved out a niche with its non-instant delivery and curation-focused model, offline retailers know that a transactional relationship alone is not enough to make customers brave traffic regularly. Their large-format stores are therefore doubling up as spaces to be experienced.

Ashni and Avni Biyani's five Foodstories stores, in Mumbai, Delhi, Bengaluru and Hyderabad, host masterclasses, maker meet-ups, tastings and even grocery raves. The café and beverage bar encourages customers to eat, shop and linger.

The Biyani sisters, daughters of Future Group founder Kishore Biyani, had earlier launched luxury gourmet food chain Foodhall in 2011, operating under 10 stores across the country. But by 2023, all the stores were shuttered following insolvency proceedings against parent Future Retail, initiated by its creditors.

"You need a lot more theatre, the stores need a lot more drama. They need to keep giving the customer a reason to come back," says Ashni.

But the store still has to work as a shop-

ping destination and is positioned as a place for customers who value and know good food. Discovery, in particular, is difficult to replicate online.

That discovery matters to brands, too. Millie Mitra, founder of small-batch, plant-based, vegan cheese brand Millie's Kitchen, says nothing matches the visibility offered by stores such as Foodstories and FreshTerra. "They have amazing product support. We have samplings every weekend at Foodstories and we get to showcase our products to customers," she says.

But q-commerce is competing for those brands too. Platforms have even waived listing fees, which typically is about ₹25,000 per SKU per location, compared with ₹5,000-10,000 for physical shelf space.



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CAREFUL EXPANSION

A fundamental challenge remains: scale. The founders of the new crop of retailers have learnt from earlier failures and are wary of expanding before they have figured out what works.

Food Square, for instance, took nearly three years to open its first store outside Mumbai, in Ahmedabad, this July. It spent that time operating its two Mumbai stores and refining the model. It is now planning three more stores this fiscal year.

Foodstories is taking a similar, measured approach. Rather than chasing a national footprint, the Biyani sisters want to build depth in their current locations before expanding to new ones.

The caution is partly because premium grocery is a high-involvement business. FirstClub's Ayyappan says for each new city, the platform has to identify suppliers, build the supply chain, acquire customers and understand how products behave in different local climates. The platform operated only in Bengaluru for a year before expanding to Hyderabad earlier this year. It intends to eventually reach 35-40 cities in three to four years.

FreshTerra's Mediratta sees potential for more than five stores each in Gurugram and Delhi, but has rejected dozens of locations. A good location, on the flip side, could be too expensive. "If the rentals are ₹30 lakh I'll never make money or I will have to increase my prices to more than what people are willing to pay. That's a recipe for disaster," he says. The company will launch its second store, also in Gurugram, this week. The founders are far more bullish about how large the category can become. "I think the time is now," says Avni Biyani, adding that the potential is "infinite". Food Square's Gupta estimates that a premium grocery retailer can eventually build a ₹1,500-crore business.

Getting there, however, will depend a lot on whether they can deliver the quality and experience their customers expect every single time.



Ashni and Avni Biyani are implementing the many lessons they learnt with their Foodhall experience at their new premium grocery retail venture, Foodstories.

Premium grocery—a new script

India's new crop of premium grocers is solving problems that held back earlier players.

Company	Launch year	Differentiation	Current store count	Expansion plan
FirstClub	2025	Curated assortment, clean-label products, direct sourcing	1 in Bengaluru, 1 in Hyderabad	35-40 cities in 3-4 years
Food Square	2023	Gourmet assortment, integrated fresh produce supply chain	2 in Mumbai, 1 in Ahmedabad	3 more stores this FY
Foodstories	2023	Expansive assortment, in-store events	1 in Delhi, 2 in Mumbai, 1 in Bengaluru, 1 in Hyderabad	Ahmedabad, Pune, Chennai, Kolkata
FreshTerra	2026	Direct sourcing, live milled flour, spices and cold-pressed oil	1 in Gurugram, to launch second store in Gurugram this week	Delhi-NCR, Punjab, Haryana, Uttar Pradesh; dark stores

Galloping ahead

Grocery, gourmet food and quick commerce are all expanding rapidly.

*Calculated using IMARC's 17.78% CAGR estimate

Source: RedSeer, IMARC, Bain & Co

Category	Market size (2025)	Projection (by 2030)
Grocery retail	\$658 bn	\$992 bn
Premium/gourmet food	\$5.4 bn	~\$12.4 bn*
Quick commerce	\$10-11 bn	\$65-70 bn

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A FirstClub 'Club House'. The online platform allows customers to book a visit to its dark stores.



Fine print key in hybrid home loans

While hybrid home loan ensures certainty in initial period, that visibility often comes at a premium to floating rate

Ananya Grover

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With the Reserve Bank of India (RBI) holding the repo rate at 5.25% for a fourth straight time at its August monetary policy review, borrowing costs are at their lowest since around mid-2022. That makes the choice between a fully floating-rate home loan and a hybrid loan more consequential. Some banks have begun offering semi-fixed products at competitive rates, partly as they look to deploy excess liquidity following a record wave of foreign currency non-resident (bank) or FCNR(B) deposits. A hybrid loan fixes the interest rate—or EMI—for an initial period, typically two to five years, before switching to a floating rate. It can suit borrowers who prioritize near-term EMI certainty. A floating-rate loan, meanwhile, may suit borrowers who can absorb higher EMIs or longer tenures and want to benefit if rates fall further.

So, with the repo rate already 125 basis points below its post-covid peak of 6.5%, does it make sense to pay for stability, or is floating still the better bet?

How hybrid works

A hybrid home loan has two phases. The rate is fixed for an initial period of two to five years, before it automatically shifts to a floating rate linked to a benchmark. The fixed phase provides EMI certainty when the outstanding principal is at its highest. Once it ends, the borrower takes on interest-rate risk again. “A hybrid loan may suit borrowers who want certainty over their initial borrowing cost but are willing to take some interest-rate risk later,” said Adhil Shetty, chief execu-

utive, BankBazaar.

Hence, the structure is a bet on the direction of rates. Borrowers expecting rates to rise may value the fixed phase, while those expecting more cuts may prefer floating because reductions can reach their loan sooner.

Floating still dominates

Floating-rate loans accounted for 73.37% of India's home-loan market in 2025, according to a June report by Mordor Intelligence. Borrowers prefer them because rate changes are linked to transparent external benchmarks and cuts are transmitted relatively quickly.

But floating is not automatically cheaper. Rate changes can take time to reach borrowers. When rates rise, lenders may raise the loan tenure rather than the EMI, protecting monthly cash flow but

The RBI has held the repo rate at 5.25% for four straight reviews, leaving borrowing costs at lowest since mid-2022

increasing total interest paid. Conversely, a rate cut may not fully reduce the borrower's cost if the lender changes its spread.

Borrowers therefore need to track not just the interest rate but also changes in EMI, tenure and total interest outgo.

The price of certainty

The main drawback of a hybrid loan is that certainty can come at a premium.

“Lenders usually charge a higher fixed rate in hybrid home loans than their prevailing floating-rate loans,” said Santosh Agarwal, chief executive, Paisabazaar.

Mangesh Zope, founder, Peaceful-Loans, said lenders have to price in the risk of locking the rate while their own funding costs can change. That is why hybrid products remain relatively uncommon. ICICI Bank, HSBC India and Kotak Mahindra Bank are among the lenders offering such variants, but they are not yet widely available.

Is hybrid home loan worth it?

Hybrid loans promise initial EMI stability, but other variables can decide whether that stability makes sense for you.

What are hybrid home loans?

A combination of fixed plus floating rate loan

Fixed rate:
Initial years, usually 2-5 years.
Rate locked, EMI steady

Floating rate:
For the remaining tenor



Things to note

- ▶ Rate during fixed period is often at a premium to floating
- ▶ Foreclosure/prepayment charges can apply during fixed period
- ▶ Switching out early may cost anywhere between 0.5-4% of principal plus GST

Comparison of hybrid vs floating in different scenarios

Assumptions	Hybrid home loan rate	Fixed 7.5% for first 36 months and floating thereafter
Loan amount: ₹2 crore		
Tenor: 300 months	Floating home loan rate	7.45%, changes with the benchmark
	Note: calculation assumes 0.05% premium for fixed home loan rate vs floating rate	

Scenario 1: RBI maintains rate

Loan type	Interest outgo (in ₹)	
Floating	2,41,44,517	Floating is cheaper by ₹37,011
Fixed then floating	2,41,81,528	

Scenario 2: Rates increase by 0.25% thrice in 6th, 9th, 12th month and then held

Loan type	Interest outgo (in ₹)	
Floating	2,69,79,215	Hybrid saves ₹3,98,266
Fixed then floating	2,65,80,949	

Scenario 3: Rates increase by 0.25% thrice in 6th, 9th, 12th month and then fall by 0.50% in the 24th month

Loan type	Interest outgo (in ₹)	
Floating	2,52,35,365	Hybrid saves ₹2,61,205
Fixed then floating	2,49,74,160	

Note: These does not factor in changes in spreads, MODT (Memorandum of Deposit of Title Deeds), legal and processing fees etc. These calculations assume the floating rate stays constant after the last specified change in each scenario. In reality, repo rates can move multiple times over a 25-year loan. Ultimately the outcome depends on a combination of interest rate movement, tenure of fixed period, and your credit profile that determines the interest rate you get. Rates could be higher depending on credit profile, the fixed tenure, and the bank terms. These are illustrative calculations and rate transmission generally happens with a lag. Source: Peaceful-Loans

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GOPAKUMAR WARRIER/MINT

ated by the fixed-rate period.

“Our treasury raised its own funds on a matching tenure and rate profile upfront, so if rates move against it later, that exposure is already hedged. If we're lending, say, ₹3,000 crore over 65 months, we map our own borrowing accordingly, so that we're not carrying a higher risk on our books,” he said.

Saxena added that the product is aimed at first-time borrowers who may be financially stretched and do not want their EMIs to rise, as well as financially informed borrowers who believe rates are unlikely to fall further in the near term.

Read the fine print

According to Shetty, borrowers should look beyond the initial fixed rate and understand how long it applies, the rate thereafter, the benchmark and spread used for the floating rate, and any switching or prepayment charges.

Consider a ₹2 crore loan for 25 years at a fixed rate of 7.5% for the first 36 months. If the fixed rate is 5 basis points higher than a fully floating structure, but the repo rate rises by 0.25% three times in the sixth, ninth and 12th months, the borrower stands to save ₹3.98 lakh in interest, according to calculations sourced from Peaceful-Loans.

But that is a best-case scenario. It assumes the rate was fixed in a low-rate regime, as is the case now, and that the central bank raised rates aggressively in the first year. The benefit could be very different if the repo rate falls during the fixed period or rises only marginally.

The rate a bank ultimately offers also depends on the borrower's credit score, and a hybrid loan is no exception. Zope said borrowers should compare rates based on their credit score. Someone with a very high score may qualify for a low floating rate and have little reason to pay a premium for a hybrid loan. A borrower with a weaker score, say 700–725, may be offered

a higher floating rate, narrowing the gap with the hybrid loan's initial fixed rate. In that case, paying a small premium for certainty could make sense.

If the central bank starts cutting rates after a borrower locks into a hybrid loan, switching to floating is an option—but it can be costly.

Shetty said borrowers should check the terms that apply after the fixed period ends, since the floating rate they move to could be significantly different from the rate at the start. “Borrowers should therefore look at the overall cost rather than focus only on the initial rate or EMI,” he said.

Agarwal added that switching from a hybrid loan to a floating-rate loan also entails a fee, making the fine print critical. The fee is typically 0.5% to 4% of the outstanding principal, plus 18% GST, depending on the bank, the terms of the specific hybrid loan and how early the switch is made.

Borrowers should also ask how the floating rate will be calculated after the switch and whether the spread is fixed or subject to revision. Part-prepayment conditions, balance-transfer costs, processing fees and other charges should also be checked before comparing the total cost of a hybrid and floating-rate loan.

In most cases, a transparent repo-linked floating loan will be cheaper. A hybrid loan makes sense mainly when the premium is minimal and near-term EMI stability is a priority. If the premium is 40–100 basis points, the bet works only if the repo rate rises by more than that during the fixed period.



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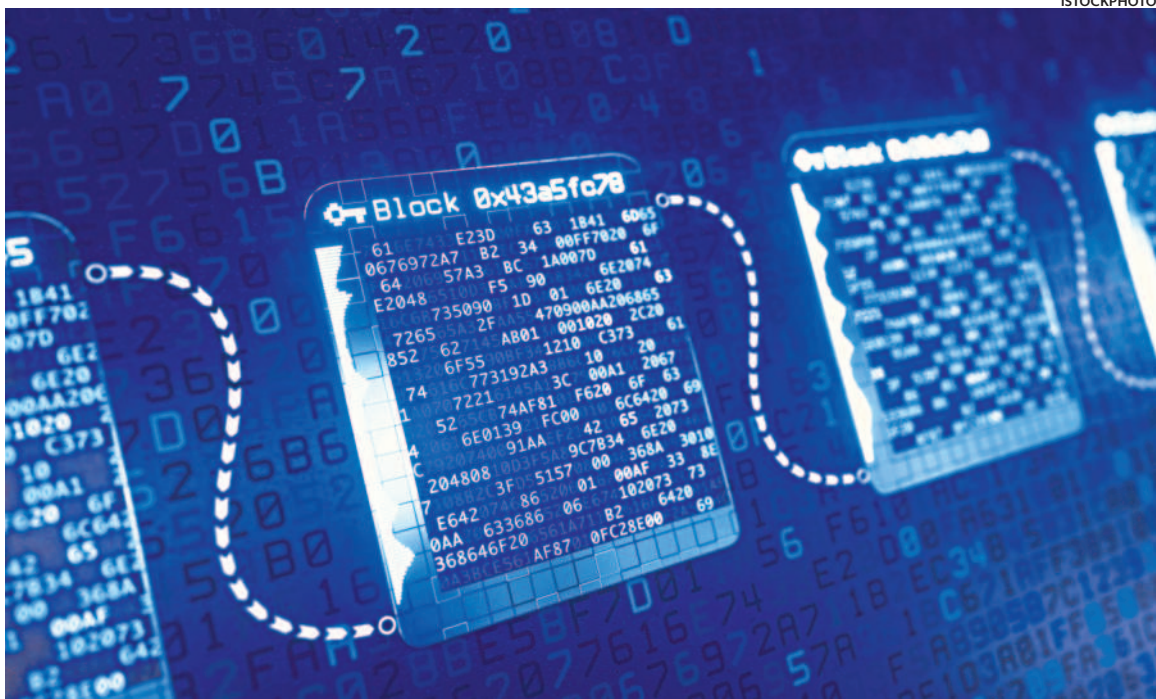
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OUR VIEW



Can tokens move assets as fast as money moves?

Launched by RBI and Sebi, Demat 2.0 has seen some high-profile tokenized bond issuances. Tokenization holds the promise of a superior market but we can't take its success for granted

India has spent the past decade making money move faster. Now it wants to do the same with assets like bonds, gold and property. On 10 September, the Reserve Bank of India (RBI) and Securities and Exchange Board of India launched Demat 2.0, a pilot project that has already seen REC Ltd, Larsen & Toubro and IIFL Finance issue tokenized bonds. Tokenization, as with cryptocurrencies, creates digital assets that can be transferred 'atomically': an asset changes hands in the same step as its payment. Such bonds are tracked on a tightly shared online ledger, or blockchain, with institutional trades done in the wholesale e-rupee—India's central bank digital currency (CBDC). The retail e-rupee will eventually enable wider participation.

Tokenized assets promise to make their markets faster, cheaper and safer. 'Atomic' or indivisible deals reduce settlement risk, while smart contracts can automate interest payments, corporate plans and compliance. Early Bank for International Settlements (BIS) research found tokenized bonds had lower bid-ask spreads than comparable conventional bonds, which speaks of trading efficiency gains. Fractional ownership could also widen access to high-value assets if market liquidity and rules of custody (and trading) allow it. The enabling technology was thrust into the spotlight by crypto, which uses open ledgers, an idea we embraced for its broader value. From our national blockchain strategy in 2021 to the National Blockchain Framework (NBF) of 2024, that embrace has come a long way. Government data says more than 340 million documents had been verified on the NBF by 21 October 2025. Many other countries are also testing tokenized securities with digital-money settlement. Once both

currency and deals can safely be programmed, such asset markets could evolve rapidly. To go beyond bonds, RBI is looking at gold tokenization, while Maharashtra proposes a legal framework to convert land and other immovable assets into tokens. Nandan Nilekani of Aadhaar fame has advocated a global 'finternet' for tokenized assets. India could leverage its digital public infrastructure, the NBF and e-rupee included, to plug into markets abroad.

Demat 2.0 is designed for a closely regulated shift. Unlike crypto ledgers, its official blockchain is not decentralized; it is supervised, so as to offer the security of trusted institutions. That said, bonds are easy to tokenize: every bond already has a recognized issuer, ownership record and regulated settlement system. Gold is harder: someone must establish that every token corresponds to actual gold, securely held and of the right purity. Land is harder still. A token cannot, by itself, establish title, resolve an inheritance dispute, reveal an encumbrance or settle a boundary dispute. There are other challenges. To attract traders, Demat 2.0 must show gains of time and cost efficiency. India must also close any space for legal ambiguity. Tokens are useful only if they are linked securely to their underlying assets as recognized by law. For tokenization to succeed, not only must ledgers stay hack-proof, all registries, custodians, regulators, platforms, smart contracts and courts behind tokens must work in tandem to minimize ownership risk. While a start has been made, India should focus on making ownership more reliable, settlement cheaper, financing easier and markets more liquid. Putting assets on a ledger under regulatory oversight is the easy part. Making assets move with the ease with which money does is what will matter.

Five ways for India to catapult its circular economy to a new level

A global conclave to be held in Gandhinagar offers an opportunity to both formalize and finance it



KAVITA SACHWANI & BALAKRISHNA PISUPATI are, respectively, banking team member, United Nations Environment Programme (UNEP) Finance Initiative; and head, UNEP India.

As the World Circular Economy Forum 2026 takes place in Gandhinagar this month—the first time it is being hosted in India—the temptation will be to measure India's ambition by how closely its policies resemble those already tried in Europe: extended producer responsibility (EPR), eco-design directives, digital product passports.

India should study all of them. Its contribution, however, to global circular-economy thinking will not come from adopting someone else's play-book, but by formalizing, financing and scaling an informal circular economy that is already operating at a big scale.

The stakes are larger than waste. The International Resource Panel estimates that the extraction and processing of materials account for roughly half of global greenhouse gas emissions and drive more than 90% of biodiversity loss and water stress. As India industrializes, meeting its climate goals will depend not only on cleaner energy, but on getting more economic value from every tonne of material it uses. Otherwise, we risk making the linear economy more efficient rather than making it circular.

The goal should be to stop treating the informal economy as a problem to be replaced. India's waste-pickers and scrap dealer networks already re-circulate an enormous share of the country's plastic, paper and metal waste—by

some industry estimates, more than the formal recycling sector manages in many materials. Dharavi, still described in most coverage as a slum, is also one of the densest informal recycling clusters on earth. Rarely does any of this show up in GDP data or in environmental, social and governance reports.

India's circular economy is not short of economic activity; it lacks financial visibility. Circular finance has to work in both directions: bring existing circular activity into the financial system, and also direct new capital upstream into circular design and production.

Here are five approaches that India can consider to strengthen circular economy actions at all levels and scales.

Build an open network for materials: India could use its digital public infrastructure (DPI) to do for this sprawling unorganized market what its Open Network for Digital Commerce (ONDC) did for online domestic traders. Nothing comparable exists yet for secondary materials. A scrap dealer in Surat and a manufacturer in Coimbatore looking for recycled polymer feedstock have no interoperable rail connecting them.

An open, publicly anchored network for circular commerce would not need inventing new technology. It would require applying India's own distinctive policy export, DPI, to a market that has never had it.

Pay for material recovery the way India pays for everything else: India's experience with direct benefit transfers (DBTs) can also be leveraged for circular-economy management. A verified-recovery DBT model—paying registered waste-pickers directly for tonnage recovered and authenticated, funded in part through producers' existing obligation—would convert an EPR compliance cost into a direct, trackable income stream.

Let GST do what bank risk models are slow to do: Financing circularity rests on persuading banks to rethink credit assessment for reverse logistics and re-manufacturing. It requires institutions to change how they see risk. India

has a tested lever sitting entirely within its control: a differentiated GST structure that charges less tax on products meeting a minimum recycled-content or reparability threshold, verified through the same digital tracking systems already being built for EPR compliance. This does not wait for the finance sector to catch up. It changes the price signal facing every manufacturer and consumer the moment it is notified.

Make the government's own shopping list a big demand signal: India's public procurement, which runs through the Government e-Marketplace (GeM), can be useful. A government procurement mandate requiring a rising minimum share of recycled-content or refurbished goods across categories—tech hardware, furniture, uniforms—would create guaranteed and predictable demand for circular products before any new subsidy is announced.

Turn circularity into a competition among states from just another compliance exercise: A biennial Circular States Index—to track material recovery rates, EPR compliance and formalization of informal recycling workers by states—would deploy the spur of competitive federalism that drives so much of India's fastest policy movement, and at nearly zero direct cost too.

What do these initiatives mean for Gandhinagar? None of the above ideas are exotic. A biennial Circular States Index—to track material recovery rates, EPR compliance and formalization of informal recycling workers by states—would deploy the spur of competitive federalism that drives so much of India's fastest policy movement, and at nearly zero direct cost too. But in many ways, it already is. The forum's opportunity, thus, is to put the circular economy it already has on the balance sheet—and then finance what comes next.

These are the authors' personal views.

10 YEARS AGO



JUST A THOUGHT

The end goal is to deliver financial services to customers faster, cheaper and with better outcomes than exist today. Over time we expect all financial assets to eventually move onto the blockchain infrastructure.

JONATHAN STEINBERG

MY VIEW | MODERN TIMES

Nomadic quest: what's the meaning of 'home' in 2026?

MANU JOSEPH



is a journalist, novelist and screenwriter. His latest book is 'Why the Poor Don't Kill Us.'

On Wednesday, I got a free upgrade to first class, but the aircraft seats were so angled towards the windows that I could not make eye contact with those who were making their way to the coach. Otherwise, it was an enjoyable and auspicious start to my life as a homeless person.

I plan to wander across five advanced economies on visitor visas, slipping into the mothership, India, now and then. The countries that offer visas on arrival for Indians are exactly the sort of places I don't want to pass through, except Thailand, for I cannot bear to see anymore the mess of humans in the throes of 'development', though no place I know is as unsightly and unhealthy as my mothership. I wander not to 'explore' myself or do any other thing that narcissists do in the guise of spirituality. Nor am I lost or seeking meaning, because I am of sound mind, though some unkind exes may contest that. Oddly, the only thing I feel that has meaning is a home and the people inside it, but if it is over or you don't have it for any reason, you

should not make a second-best home. People seek their best-case scenario, but when they don't find it they think that the second best option should be a diminished version of best. But this is at the root of all failure and strife. A second-best option exists, but it is usually not a diminished version of the best. It is a completely different one. The second-best home is the absence of home.

I will be working hard as usual and doing everything I used to do in Gurugram, but in beautiful and clean places. In any case, what is the meaning of 'home' in 2026? I won't say this to an immigration officer, but I will to everyone else.

The whole world seems to be uprooted. The poor are fleeing their villages where they have land and respect but no work. The young, in beautiful places, want to flee their parents. The middle class has been hopping cities and countries, filled with hope and despair. Even when the going was good, when rich nations begged them to come, they were homesick. An underrated reason for the first wave of Asian nationalism was homelessness, when the cultural elite left pampered lives that were subsidized by the poor, their egos nourished by inequality, and became the new underclass. They developed an exaggerated love for their culture.

My first introduction to foreigners was through their mysterious loneliness. Because it was through cinema. Almost all American heroes of the 1980s were solitary, and they hailed from elsewhere. Rocky, for instance, lived alone. The boxer was rootless. One reason for that, I figure now, is that

in the first draft of a screenplay, characters are usually solitary because it is easier, especially for inexperienced writers, to write a single central character with minimal interactions than to fill the story with equal characters, and something of that isolation survives the drafts. Also, urban America was perhaps truly rootless.

All that has changed now. Characters in American cinema today seek home and belonging, even Deadpool.

But a happier homelessness has emerged. The richest are leaving their old homes like never before. Rich Americans are fleeing to Europe, Dubai and Singapore. *Henley Private Wealth Migration Report 2025* states 16,500 millionaires quit the UK as their primary

place of residence. The latest luxury product appears to be leaving home. And like some things the rich do, you don't need to be as rich to do what they do, especially in matters concerning freedom. Money buys freedom but money is not the only thing that can buy it.

Rich Indians, too, appear to be leaving.

They are buying citizenships, especially in Europe. But most of them don't really quit home. Maybe they are just buying the option to flee.

When I lampoon the ₹100-crore flats of Gurugram that stand in the smog, how the richest in India still have to breathe poison, people tell me those are just "among the many homes" of the rich. But a home is a singular thing. It is where a person feels at home, usually in a swarm of people who are all nailed to the reassurance of a single familiar town.

They may take their home with them to another location briefly, but their home is one thing. People have either one home or none at all. There's no other choice.

A deliberately homeless person is in a

state of happy exile. When I read the poetic laments of refugees who have lost their home to occupiers, I have a better sense of who I am at this moment—the anti-refugee, the exact opposite of the dispossessed, a person who has access to home and flees from it.

Maybe the only way for me to love home is if someone denies me my right to enter it. But that is not what I fear, for what are the chances? What I fear is that India will sabotage my escape, pulling me back in. Home is a gravitational force. It's not easy to escape it.

Many years ago, my train had stopped in a small town in Tamil Nadu. A pretty transgender woman, probably 20 years old like me, got in and sat next to me. She looked nervous and kept looking out of the window. She was fleeing. As the train moved, she began to look happy. But then a gang of burly transgender folks appeared, beat her up and dragged her away. I think of that moment when I see the poor of India trying to escape their circumstances valiantly, against the odds. There are forces that hold them back. I feel something like that may happen to me too, some long arm of India will grab me and draw me back. But I will fight. Every five years, we become zombies. And we need to do something extraordinary. Some people have children. Some just leave home.



| MY VIEW | STATISTICALLY SPEAKING

India's urban-rural split: welfare benefits should not depend on it

A binary classification of areas as urban or rural doesn't reflect today's reality of urbanization but state schemes still go by it



T.C.A. ANANT

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India's governance of settlements rests on a binary. The 73rd and 74th Constitutional Amendments created two tiers of local government: panchayats for rural areas and urban local bodies for urban areas, with no third category. The default is 'rural' unless a government notification states otherwise. The Census sits uneasily within this binary because it recognizes something the Constitution does not: the Census town. Alongside places that are administratively urban (statutory towns), it identifies Census towns based on a statistical test: a settlement with at least 5,000 people, a density of at least 400 people per square kilometre, and at least 75% of the male main working population engaged outside agriculture. Everything else is rural. The Census identifies urban areas well before the state gets around to saying so.

That gap is the subject of a paper by V. Tandel, K. Hiranandani and M. Kapoor, 'What's in a Definition?: A Study on Implications and Suitability of Urban Definitions in India through its Employment Guarantee Programme.' A Census town, they show, remains rural for every purpose that matters to its residents: still governed by a panchayat, still taxed as rural land and still eligible for rural schemes. Conversion requires a discretionary state decision, and the authors document why it is often avoided—residents fearing higher taxes or lost entitlements, panchayats resisting loss of authority, builders preferring laxer land-use norms and states with their own political reasons for inaction. They test whether this reflects a simple fiscal motive—places staying rural, i.e., to keep drawing jobs guarantee funds—and find that the evidence does not support such a story. Their analysis points to misclassification and inefficiency, not rent-seeking.

The United Nations' *World Urbanization Prospects 2025* report reframes this problem in a way that is harder to set aside. Where the Indian system asks a binary question, the UN's 'Degree of Urbanization' methodology treats settlements as a continuum, classifying every square kilometre of a country as city, town or semi-dense area, or rural, using consistent and internationally comparable thresholds of population, density and contiguity. Applied to India, this suggests a much larger share of the country is already functionally urban than our administrative or Census definitions show. China has repeatedly widened its urban definition as its settlements changed; India's criteria have remained static, leading to 'hidden urbanization': settlements that function as towns but are recorded and governed as villages.

The implication is practical, not just conceptual. If functionally urban conditions are this widespread, the next Census is likely to record a sharp jump in India's measured urban population:



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thanks to places that have already crossed the Census town threshold. That jump will reflect measurement catching up with a transformation already underway, not fresh migration or construction, and it will force us to confront on a much larger scale the governance question Tandel and her co-authors raised: what happens to a place and its people when its administrative status changes.

The deeper problem is that our welfare architecture is not designed to answer this question gracefully. Programmes are organized vertically by ministries, each defining beneficiaries in the vocabulary of its own jurisdiction: rural schemes are run by the ministry of rural development, anchored to rural local-body status, and a similar set are run by the ministry of housing and urban affairs, anchored to urban status, with different assumptions and funding formulas. A settlement's classification is therefore not just a label; it is the switch that determines which protections apply to the people living there.

Because rural and urban are treated as static categories rather than points on a moving continuum, the switch is treated as a one-off event, even though development makes it recurring. A village's economic character can change—through a new highway, an industrial corridor or construction activity—well before its governance. Reclassification, when it happens, is often abrupt: eligibility for rural schemes lapses the moment a panchayat becomes a 'nagar panchayat,' while the income security and services of genuine urban status arrive much slower, if at all. A casual-labour household does not become less vulnerable

because the settlement's legal status changes; it has simply exchanged agricultural vulnerability for non-agricultural vulnerability—and it is precisely this household that welfare schemes exist to protect.

This is not an argument for abandoning rural and urban categories or for adopting a single national definition—the UN treats harmonized measures such as the 'Degree of Urbanisation' as complementary to national definitions, not as a replacement. Tandel and her co-authors note that the US and UK already use different context-specific definitions of rurality across programmes.

What India needs instead is policy continuity: a mechanism that ensures a change in administrative classification does not by itself sever a household's access to the protections it relies on.

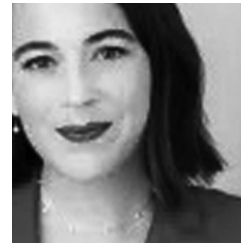
For this, existing beneficiaries could be grandfathered during a transition period after reclassification; poverty- or insecurity-linked eligibility could follow the household rather than reset at the jurisdictional boundary; and eligibility could be defined by the condition a programme addresses—income insecurity, unemployment, inadequate housing, lack of services, etc—rather than by the ministry or local body that governs the particular settlement.

The question we must address is not simply where to draw the line between village and town. It is what happens to the people standing on that line when the country finally redraws it—and whether India's welfare architecture can keep pace with a transition that, by the UN's numbers, is already well underway.

MINT CURATOR

Social security: the US should update its principal safety net

Critics argue this programme is too generous but it's only outdated

KATHRYN ANNE EDWARDS
is a labour economist and independent policy consultant.

The risks that Americans face have clearly changed since the scheme began.

Are America's Social Security benefits too generous? Some fiscal hawks and classic conservatives say the answer is 'yes,' and see the upcoming depletion of the trust fund as an opportunity to rein them in.

Social Security [for the Old-Age, Survivors, and Disability Insurance programme, as it is officially known] was meant to be insurance against poverty, they say, not the sole source of income for middle-class retirement. The programme needs to institute benefit caps, means testing, or even a flat benefit structure to remain viable.

It is an interesting line of reasoning, to say the least. The current benefit formula was adopted in 1977 and was designed to keep the replacement rate of benefits—that is, the benefit in retirement as a share of average earnings while working—stable. It mostly worked out that way, except that an increase in the US retirement age in 1983 effectively cut benefits, so upcoming retirees get relatively less.

That's not to say that it is obvious how generous Social Security benefits should be. In fact, it is a question that the scheme has faced since its creation in 1935. But it would be a mistake to limit the upcoming reform to an accounting exercise, because it is an opportunity to ask if and how Social Security can help Americans manage the risks of a modern economy.

Certainly, at the beginning, elderly Americans needed a life raft. They were mostly poor. Very few of them had any kind of pension.

One argument for a retirement scheme was that it would relieve the labour market of the presence of older, more desperate workers. The most popular proposal at the time, the Townsend Plan, advocated a universal (and generous) basic income for the elderly, paid for with a national sales tax.

Social Security was the compromise. Benefits would be directed to workers based on what they earned. The use of a payroll tax gave workers a stake in the programme while limiting unfunded expansions—something that (as we all know today) is easy to do with general funds.

In the first 45 years of its life, Social Security expanded—with coverage extended to families, death, disability and nearly all industries—while benefits were tinkered with again and again.

The basic structure was there: benefits were progressive and based on past earnings. There was no increase to nominal benefits from 1940 to 1950, then 10 cost-of-living adjustments by 1974, followed by annual automatic increases. The original

benefit formula saw two major revisions and another half dozen adjustments.

By the 1970s, Congress had zeroed in on a formula—but it double counted inflation, which led to truly runaway benefits. That mistake was addressed in 1977.

In 1983, a reform of the scheme cut benefits via an increase in the retirement age and a tax on high-income beneficiaries, but did not alter the formula itself. For the next 43 years, to the present day, Social Security has been on autopilot.

So, it has been a long while since there have been any experiments with Social Security, but the programme is not meant to be kept in a glass case. Benefits, formulas, coverage—they can all be changed.

In that sense, it is not all that surprising to hear noise about the scheme's benefits being too high. Detractors of Social Security point out that it is not 1935 anymore. The US does not have the same problem of elderly poverty and there are many more ways to save for retirement. Lower the benefits, they argue, lower the taxes, and increase opportunities for private savings and investment.

The problem with this reasoning is two-fold. *One*, Americans like Social Security as it is, and if anything support expanding it. *Two*, Americans are already anxious about their economic security.

You can pull out whatever statistic you prefer: the 37% of Americans who say they could not meet a \$400 expense; the 54% who say their financial situation is poor or fair, or the 55% who say it is getting worse. You could cite the half of Americans who cannot afford health care, the rise in delinquent loans, the cratering of consumer sentiment or a median household income that has not risen much in five years.

In this context, it is hard to sell the idea that what the American economy needs is less Social Security protection for people. The risks facing Americans have changed over the last 91 years.

Rather than seeing Social Security as a reflection of 1935's problems, as faced by Americans of the time, the objective should be to see the programme as an answer to 2026's problems. As even the programme's critics pointing to its high benefits admit, Social Security has been effective at the job it was designed to do. So let's put it to work, and do more.

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| THEIR VIEW

Let's focus on implementing rules, not rewriting them

ADITYA SINHA



is a public policy professional.

On 6 September, a five-storey building in Delhi's Satya Niketan being used as a paying-guest facility collapsed, killing seven people, most of them students. The building was unauthorized. It had an illegally dug basement. Within three days, the response had moved from rescue to legislation. Delhi now proposes a law under which every paying-guest facility must obtain a licence within 90 days, collect no-objection certificates from the police, municipality and local administration, register on a portal, install CCTVs, keep a warden within 500 metres, submit to quarterly inspection by a new committee, and charge rent within bands fixed by another.

Nobody can argue against structural safety. But the tragedy poses a narrower question. Did the Satya Niketan incident take place for want of rules or for want of anyone to enforce the rules in existence? Unauthorized construction was already illegal. An inspectorate that did not notice a basement being dug in a crowded student

locality will not notice the next one just because there is now a portal.

So, why does the state reach for a new law instead of an effective inspectorate? Because the two cost different things. Inspectors, engineers and prosecutions consume money and manpower, and both run out. A licence, certificate or a committee consumes neither. It costs the government almost nothing, shifts the cost of compliance onto those being regulated, and is invisible in any budget. Political scientists call it creeping government. It is the cheapest way to be seen doing something, and after seven deaths, the demand to be seen doing something is overwhelming.

That demand drives a pattern economists have studied for 40 years. In a crisis, the burden of proof reverses. Normally, the state has to justify interfering with a voluntary transaction. In an emergency, it has to justify its non-intervention. The powers it assumes are rarely given up. Cross-country studies of about 70 countries since the 1970s find that severe crises enlarge government under political parties of nearly every ideology, and that the next government does not reverse it. The damage shows up less in budgets than in the quality of legal systems and property rights. What ratchets up is not the size of the

state, but its presumption: the set of decisions politicians come to regard as theirs.

India has run this experiment twice this year. In June, with West Asia's oil supply disrupted, the Centre held retail fuel prices steady while raising bulk prices. Commercial buyers moved to retail pumps and diversion followed. This evoked a second intervention on 12 June, placing a 200-litre daily diesel purchase cap and a bar on commercial buyers at pumps, which was withdrawn on 1 July. The first control imposed created a shortage that justified the second.

Sugar is the older reflex. A stockholding limit of 4,000 quintals per dealer came into force on 1 August. On 2 September, the Centre announced its halving to 2,000 quintals effective from 15 September to curb what the order called hoarding. But a stock is not a conspiracy. It is how supply moves from a month of plenty to a month of scarcity. The *Economic Survey* of 2019-20 looked at stock limits for pulses in 2006, sugar in 2009 and onions in 2019

and found that price volatility rose after each one of them. In 2019, states conducted 76,033 raids under the Essential Commodities Act and secured 2,941 convictions, a rate of 3.8%. The *Economic Survey's* own verdict was that the 1955 Act enables rent-seeking and harassment and should be scrapped.

Tragedies like Satya Niketan's in Delhi call for greater state capacity to prevent, not more rules

The point of principle here was made clearly by economist Friedrich A. Hayek. A price is information about scarcity that no ministry possesses. Suppress the price and the scarcity remains. Only the signal to resolve it is gone.

This is not an exclusively Indian weakness. Scotland froze private rents in October 2022 as a cost-of-living emergency. The freeze became a 3% cap, and the cap became a permanent

rent-control regime under the Housing (Scotland) Act of 2025. On 1 September, the Scottish government opened consultations on a proposal of capping the price of bread, milk and eggs in large supermarkets. An emergency measure for housing got transformed into a policy template for food.

Once in place, such measures usually find defenders. A licensed paying-guest facility operator will want the policy's 90-day window for obtaining a licence kept tight to keep rivals out. Those who pay the cost will do it invisibly: students who may find no space next July and, in the case of food items, farmers who would plant less next season.

The state should instead distinguish between its capacity and control. Capacity means inspectors who inspect, courts that convict and liability that bites. Control means a compliance burden. The first is an investment, the second a substitute for it.

Next, protect people, not prices. A shock makes accurate prices more valuable, not less, so support poor households with transfers and leave price signals alone. Then intervene at the source. Delhi's answer to every winter of smog is a construction ban. Surat instead built an emissions market for factory exhaust, and they fell 20-30% at lower cost.

Finally, give every emergency power a sunset clause. Once the crisis passes, audit what failed and worked and what must go. A crisis calls for a more capable state rather than a more controlling one. The test of a government is its efficacy in ensuring good outcomes, not the power it wields.



'Even in crises, treat people with dignity'

Nestlé's former CMD Suresh Narayanan, whose book *Courage Under Fire* is out, shares his lessons in leadership, forged in the fires of crises

Soumya Gupta
soumya.gupta@livemint.com
MUMBAI

Crisis rarely come with warning. But every workplace has that certain someone everyone thinks of when fighting a crisis. In the case of Swiss food and nutrition multinational Nestlé S.A., that someone is Suresh Narayanan who served the company for 26 years across roles and geographies. Narayanan, who retired last year as chairman and managing director of Nestlé India, saw the company through its fair share of crises, including the infamous 2015 ban on Maggi, the instant noodles that contribute a significant chunk of the company's sales in India. Narayanan was brought back to the top job in India from the Philippines when that crisis hit, and he is credited with turning the business around and bringing Maggi back to the country's stores in five months.

How did he do it? It's all part of his new book *Courage Under Fire: Leadership Lessons from the Arab Spring, Maggi Crisis, Covid & More*. In this interview with *Mint Lounge*, he talks about the mark of a good leader, what it takes to navigate a crisis, and why a business must always take care of people, especially in bad times. Edited excerpts:

You've had a long, eventful career leading many units of Nestlé. What prompted you to write this book now and how did you pick which crises to document?

My objective was to encapsulate my perspective in difficult situations. Managing easy situations is fairly intuitive but managing difficult situations is where the challenge comes. I chose these particular crises [for the book] for various reasons. Two of the incidents are from my early years at Nestlé—[handling] the closure of a factory and the Lehman crisis [of 2008]. At least one—Arab spring—had a cross-cultural context: I was new to the country [Egypt], I didn't know the language, and was tasked with running the business. [I picked] covid for the enormity of the fact that everyone was affected. And Maggi [ban] was for how Nestlé dealt with it. The idea was to offer perspectives... where people are respected, empowered and how over time that transforms the organisation.

You ask an interesting question early on—are leaders born or can they be made?—and examine it in the many case studies in your book. What is your conclusion?

One of the things I have lived and believed in strongly is the need to de-mystify leadership. It is not charisma, brilliant articulation of issues, it is not narcissistic, or centred around outcomes for the self alone. It is not necessarily elitist in terms of background. The most charismatic people in good times can be utter failures in bad times. In bad times you need clarity and simplicity of communication. Only 1% or less people you would qualify as being charismatic.

So leadership needs to be nurtured, it needs to be cultivated. It is like nurturing children in a family. Each needs a certain amount of nurtur-



Suresh Narayanan.

ing, coaching, and guidance. Leaders are identified when they step up in difficult times. As they say in Hindi, *Hariyal mein tote bohot bolte hain but qayamat mein sannatta hota hai* (there are plenty of chirping parrots in the spring, but in the apocalypse, there is silence).

You write that your grandmother inspired you with the principle of 'janangala patt-uko' (take care of people, and things will take care of themselves). How easy is it to stick to that in a crisis, especially when businesses have to make hard decisions?

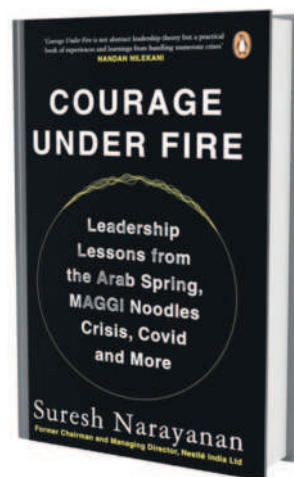
We are moving from an age of nurturing leadership to transactional leadership. There is a preponderance of the head over the heart. I can look at someone as a young talent that can be nurtured or I can look at them as someone who can deliver results. KPIs (key performance indicators) are important but not the be all and end all of life. There is also an overemphasis by investors and leadership alike on short-term vs long-term. If I had to be fired for my failures, I would have been fired decades ago. But someone held my hand and guided me. It is the same give-back feeling that leaders must have in their reach to give their back to their young wards and to their juniors in the organisation.

How does this principle change the culture in an organisation? And how does it help manage a crisis?

Professor Sumantra Ghoshal, a legendary professor at INSEAD and a proponent of corporate culture has a great quote: "Enter an organisation and you can smell if it is friendly or not, productive or not, futuristic, or driven by the past." The smell of a place is how leadership should be measured. Culture of an organisation is behaviours which are happening when no one is watching; it is not defined by words in the boardroom. At Nestlé, for example, respect is a core value we cherish, for ourselves, each other, for diversity, and for the environment. During the [Maggi] crisis, everyone respected each other. Not one shareholder, employee, partner, distributor went to the media to criticise the company or seek financial recourse. That speaks of the culture of the company, which is developed in good times but comes in use in bad times.

The nature of corporate crises is also changing. Your earlier examples focus on operational complexity in times like the Arab Spring. But the Maggi crisis was one of public perception and communication.

'Leadership needs to be nurtured, it needs to be cultivated. It is like nurturing children in a family.'



Courage Under Fire:
By Suresh Narayanan,
Penguin Business,
232 pages, ₹699

This kind of crisis is getting more complex and common today. How do you advise leaders to adapt to this?

CEOs and leaders need to be formally trained in crisis communication. One of the things we have seen is that in a crisis people go into a shell or read pre-prepared transcripts. Communication in a crisis needs some form of articulation and body language.

It has to be in keeping with the purpose and values of the company in a crisis. There has to be a single point of communication. In the Maggi crisis, for example, I took it upon myself to take on communication. People wanted to know, 'who is the guy in charge? Whose scalp is on the line?' Leaders must stand up and be counted upon, not delegate. Also, communication has to be simple, clear, authentic and transparent. If you don't have an answer, say you will come back, don't tad-lib or fib. Unfortunately, perception is reality.

In the past few years, we've seen large companies undertaking mass layoffs and pulling support during tough times like the pandemic. How do you see leaders managing such tough decisions today, and what can they learn about doing it better?

I have had my fair share of these tough decisions. I have done retrenchments, so I also have some blood on my hands. The first thing you always ask: 'is it essential to chop jobs before you do something else in the organisation?' You have to have that clarity of thinking. It is easy to cut jobs but are there other budgets you can cut? It is important to keep the individual at the centre of the discussion and his circumstances. When I have conversations where I let people go, they have always been humane. There are cases when people have asked for more time—a family member has surgery or the children are in the final years of finishing school. I have always given that time.

Treating people with dignity and respect is the most important. I shudder to see firings happening on Slack, on WhatsApp, over email, and people being asked to deposit their laptops at the security gates without looking back, or being made to sign agreements to keep the news of their layoff off social media. At the centre of the piece is the dignity of the individual. You will never be remembered for all the profits you generated, but how you made the other man feel. This is where a company's culture is reflected. If a person is still your friend after he has been let go of, then that is a sign of a humane organisation. I still meet people I have had the misfortune of letting go, and they still meet me warmly.



MONDAY MOTIVATION

Why great leaders keep on evolving

Lupin managing director Nilesch Gupta on leadership lessons from his father

Shail Desai

Since his younger days, Nilesch Gupta's interactions with his father, Desh Bandhu Gupta, revolved around everything from national policy and public health to business strategy, science, global affairs and ethics. Besides the world of Lupin and pharmaceuticals, he also learned about spirituality.

"My father spoke as passionately about drug affordability as he did about manufacturing quality, nurturing talent and the responsibility of entrepreneurs to society," says Mumbai-based Gupta, 52, Managing Director, Lupin. "Those conversations shaped how my sister Vinita and I see our role today—not as owners but as custodians of a legacy entrusted to us."

The pharmaceutical company was established by Desh Bandhu Gupta in 1968, when India was still importing basic medicines. Over the years, Gupta saw him tackle many crises that taught him the importance of being resilient and doing the right thing.

Gupta talks to *Mint* about mentorship and why he believes in

a hands-on approach.

Who do you consider your mentor?
I had the privilege of watching my father not just lead the company, but also actively mentor leaders, my family and others from so many walks of life. Having a front-row seat to his leadership allowed me to learn how he navigated challenges, including the existential crises that Lupin faced. His guidance and the vast number of lessons he imparted continue to steer both my personal journey and our vision for Lupin's future.

One major insight you worked on with your mentor's guidance?
My father taught me early on that no business model can be relied upon indefinitely. The lifespan of strategies is continually shrinking and organisations must evolve to remain relevant. That belief has shaped how we have steered the company's journey, moving from APIs to simple generics and now to complex generics, biosimilars and innovation. Each transition has required us to anticipate where healthcare needs are heading and invest ahead of the curve. He also believed that successful transformation goes beyond strategy—it is fundamentally about people. To navigate change, one must keep strengthening the team.

What does being a mentor mean to you? How do you mentor your colleagues at work?
The biggest aspect of mentorship is how to create a founder's mindset—a deep sense of ownership—in our people. And how do we get our people to create real impact. When mentoring colleagues, I follow a hands-on approach and stay deeply engaged. I place strong emphasis on open learning and accountability.

Monday Motivation is a series in which business leaders discuss their mentors and their work ethics.
Write to us at feedback@livemint.com

Want to succeed in an AI world? Study anthropology

Human-centered degrees like math and anthropology offer better career security than computer science

Callum Borchers

A computer-science degree is no longer a golden ticket. Stanford and MIT graduates are doing just fine, but a stampede of students into this major over the last two decades produced more coders than companies need. Artificial intelligence makes the oversupply even worse.

What's the alternative? Get really good at the stuff machines are lousy at.

For current and prospective college students, this might mean avoiding college majors that made sense in a pre-AI world, like computer science, or that were created in response to AI mania. For the rest of us, thinking about what you'd study if you were in college today is a way to identify skills worth developing for the future. And that doesn't mean focusing on AI itself.

"It's too narrow," says Peter Mischovich,

an executive managing director at commercial-real-estate giant JLL who advises some of the firm's biggest tenants on future-of-work strategies.

While it is trendy for companies to create chief AI officer positions, he predicts every C-suite job will ultimately require AI savvy and specialized roles will become outdated. Likewise, an AI-specific degree could seem antiquated in a decade.

"It's sort of like saying you majored in Excel," Mischovich says.

Instead, it might be time to go back to some of the classic areas of study.

"Human skills remain even more important as AI takes on more complex work and reshapes fields in ways we can't fully predict," says Leah Belsky, OpenAI's vice president of education.

So I asked a mix of business executives, investors and academics to recommend programs of study. Here are some of their recommendations.

ANTHROPOLOGY

Alec Litowitz majored in math at MIT and earned a law degree and an MBA. Yet the investor, an early partner at Citadel, continually draws on lessons from his second undergraduate major: anthropology.

"The beauty of anthropology for me is that I can telescope out and try to under-



ISTOCKPHOTO

stand what's happening to society right now," he says. "I don't know all the answers, but I have a frame because one of the key skill sets is metacognition. It's being able to observe a system, and at the same time you are part of the system you're observing."

At its core, anthropology is an effort to grasp what makes us human. It's hard to think of a more relevant pursuit when our career prospects hinge on humanity's value proposition, relative to bots.

Just last week, Ernst & Young said it was

creating a \$100 million bonus pool to reward employees who demonstrate value in ways that can't be replaced by AI. If you want a piece of pies like this one, it would be useful to know as much about human nature as possible.

In *The Adaptability Quotient*, his book coming out this month, Litowitz argues that much of the knowledge people acquire in college has been commoditized by AI, or will be. He says your time is best spent on studies that force you to think critically and understand people because

those abilities can help you adapt.

MATHEMATICS

One of AI's most powerful effects on the job market is erosion of trust. Recruiters struggle to determine whether candidates are as good as advertised—or merely good at using AI to cheat.

So, IG Labs interviews seemingly promising applicants in person and hands them dry-erase markers. "We put them on the whiteboard," says Bert Bean, chief executive of Insight Global, a staffing and consulting firm. IG Labs is the firm's team of AI gurus who help clients with limited-term projects. "We say, 'show us what you can do.' Our guys throw crazy problems at them to see how they think through them and how they can solve them."

Bean says math majors are strong candidates for a couple of reasons. One is that AI modeling involves a lot of math. Another is that math majors typically have experience in the kind of manual problem-solving exercises at the heart of IG Labs' interview process.

Old-school candidate evaluations are poised for a comeback as AI makes virtual interviews less reliable. People who have practiced working them out hard questions by hand will stand out.

PHILOSOPHY

Look, I'm not going to tell you that

becoming the next Socrates is a viable career path. Among recent college graduates, ages 22 to 27, people with philosophy degrees are more than twice as likely to be underemployed as those with computer-science degrees, according to the New York Fed.

Notably, however, these young philosophy majors are less likely to be unemployed than their peers with degrees in computer science, computer engineering, information systems or physics.

Some of them might be baristas, but the data suggests people who study philosophy are good at figuring out alternative uses for their talents. That's sure to be valuable in a future job market that AI will change in ways we can't anticipate.

AI companies see value in philosophers, too. Anthropic employs one to teach Claude a sense of morality. There are similar roles at OpenAI and Google.

Jeremy Schifeling, who leads training sessions at college career centers, says a lot of students make the mistake of picking tech majors they are ill-suited for and drop out. While AI-centric majors are in vogue, classic programs can offer lasting value and be better fits for your interests.

If nothing else, ziggling when others zag is often wise.

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